PaisaPro.ai: AI-Powered Investment Advisory Platform

A Full-Stack Intelligent System Integrating Quantitative Finance, Machine Learning, and Large Language Models for Retail Investor Decision Support

Project Report submitted in the partial fulfilment

of

Bachelor of Science

In

Data Science

By

Stephen Baraik ([86032300068])

Tanisha Ghosh ([86032300074])

Sneha Das ([86032300029])

Under the supervision of

[Dr. Suresh Pathare]

(Associate Professor, Data Science)

[SVKM's NMIMS University]

(Deemed to be university)

SVKM'S
NMIMS
Deemed to be UNIVERSITY

SCHOOL OF MATHEMATICS, APPLIED STATISTICS AND ANALYTICS (SOMASA)
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(2025–2026)

CERTIFICATE

This is to certify that the project entitled **"PaisaPro.ai — AI-Powered Investment Advisory Platform for the Indian Equity Market"** is a bonafide work carried out by **Stephen Baraik** in partial fulfillment of the requirements for the award of the degree of **Bachelor of Technology in Computer Science and Engineering** from **SVKM's NMIMS Mukesh Patel School of Technology Management & Engineering** during the academic year **2025–2026**. The matter embodied in this project report has not been submitted earlier for the award of any degree or diploma to the best of my knowledge and belief.

Project Mentor

Examiner (Internal Guide)

Date: _____

(HoD)
Department of Computer Science
and Engineering

Place: Mumbai

DECLARATION

I hereby declare that the project work entitled **"PaisaPro.ai — AI-Powered Investment Advisory Platform for the Indian Equity Market"** submitted to **[University Name]** in partial fulfillment of the requirement for the award of the degree of **Bachelor of Technology in Computer Science and Engineering** is an authentic record of my own work carried out during the academic year 2025–2026 under the supervision of **[Guide Name]**.

The matter presented in this report has not been submitted by me for the award of any other degree of this or any other university.

Date: _____

Place: _____

Stephen Baraik
B.Tech CSE
[College Name]

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NAME	**ROLL NO**	**SAP ID**
Stephen Baraik	[Roll No]	[SAP ID]

ABSTRACT

The rapid growth of retail participation in the Indian equity market — with over 150 million demat accounts as of 2024 and monthly Systematic Investment Plan (SIP) inflows exceeding INR 20,000 crore — has created an urgent need for accessible, intelligent investment advisory tools. Traditional quantitative analysis methods, including time-series econometrics, volatility modelling, portfolio optimization, and factor analysis, require deep domain expertise in statistics, programming, and financial theory, placing them beyond the reach of most individual investors. Simultaneously, the emergence of Large Language Models (LLMs) has opened new possibilities for natural-language financial advisory, but standalone LLMs lack access to real-time market data and rigorous quantitative foundations.

This project presents **PaisaPro.ai**, a full-stack web platform that addresses both challenges by integrating classical quantitative finance with modern artificial intelligence. The backend, built with Python 3.12 and FastAPI, implements a comprehensive analytics pipeline comprising: (i) technical indicator computation with a seven-indicator weighted composite signal generation engine (RSI, MACD, Bollinger Bands, ATR, ADX, VWAP, OBV), (ii) Random Forest classification for 5-day directional prediction, Isolation Forest anomaly detection, and K-Means clustering for stock segmentation, (iii) a multi-model ML regression ensemble (Random Forest Regressor, ElasticNet, HistGradientBoosting) for 30-day return forecasting with walk-forward cross-validation and full evaluation metrics (MAE, RMSE, R^2, directional accuracy), (iv) ARIMA and Holt-Winters Exponential Smoothing time-series forecasting with automated stationarity preprocessing via ADF/KPSS tests, (v) GARCH(1,1) conditional volatility modelling with regime classification, (vi) Fama-French 4-factor risk decomposition (Market, Size, Value, Momentum), (vii) Markowitz mean-variance portfolio optimization with Monte Carlo efficient frontier construction, and (viii) Monte Carlo simulation for probabilistic wealth projection with SIP step-up support.

A Groq-hosted Llama 3.3 70B Versatile model serves as a conversational AI advisor with agentic tool-use capabilities — the LLM can autonomously invoke four live tools (stock analysis, macro dashboard, news sentiment, stock screener) via function calling, enabling multi-turn reasoning grounded in real-time quantitative evidence. The system operates on a universe of 500+ NSE-listed equities, with daily data ingestion via yfinance, persistence in Supabase (managed PostgreSQL), and a multi-tier caching architecture with TTLs ranging from 30 minutes to 24 hours.

The React 19/TypeScript frontend provides 18 interactive pages featuring streaming AI chat via Server-Sent Events (SSE), seven chart types (Recharts), dark/light theme support, and

portfolio management capabilities. The platform is deployed with the backend on Hugging Face Spaces (Docker) and the frontend on Netlify CDN.

Keywords: Indian Equity Market, Time-Series Forecasting, ARIMA, GARCH, Fama-French Factor Model, Portfolio Optimization, Monte Carlo Simulation, Large Language Models, Machine Learning, Random Forest, Financial Technology, React, FastAPI

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List of Abbreviations

Abbreviation	Full Form
ADF	Augmented Dickey–Fuller Test
ADX	Average Directional Index
AI	Artificial Intelligence
AIC	Akaike Information Criterion
API	Application Programming Interface
ARIMA	Autoregressive Integrated Moving Average
ATR	Average True Range
BB	Bollinger Bands
BFF	Backend for Frontend
BSE	Bombay Stock Exchange
CAPM	Capital Asset Pricing Model
CDN	Content Delivery Network
CI	Confidence Interval
CORS	Cross-Origin Resource Sharing
CRUD	Create, Read, Update, Delete
CSS	Cascading Style Sheets
CV	Cross-Validation
DDD	Domain-Driven Design
DF	DataFrame
EMA	Exponential Moving Average
EMH	Efficient Market Hypothesis
ETS	Exponential Smoothing (Error, Trend, Seasonal)
EWMA	Exponentially Weighted Moving Average
GARCH	Generalized Autoregressive Conditional Heteroskedasticity
GBM	Gradient Boosting Machine
HML	High Minus Low (Fama-French value factor)
HTML	HyperText Markup Language
HTTP	HyperText Transfer Protocol
IST	Indian Standard Time
JSON	JavaScript Object Notation
JWT	JSON Web Token
KPSS	Kwiatkowski–Phillips–Schmidt–Shin Test
LLM	Large Language Model

Abbreviation	Full Form
LTCG	Long-Term Capital Gains
MACD	Moving Average Convergence Divergence
MAE	Mean Absolute Error
ML	Machine Learning
MVO	Mean-Variance Optimization
NSE	National Stock Exchange
OBV	On-Balance Volume
OHLCV	Open, High, Low, Close, Volume
OLS	Ordinary Least Squares
P&L	Profit and Loss
PKL	Pickle (Python serialization format)
RAG	Retrieval-Augmented Generation
REST	Representational State Transfer
RF	Random Forest
RLS	Row-Level Security
RMSE	Root Mean Squared Error
RSI	Relative Strength Index
SEBI	Securities and Exchange Board of India
SIP	Systematic Investment Plan
SLSQP	Sequential Least-Squares Quadratic Programming
SMA	Simple Moving Average
SMB	Small Minus Big (Fama-French size factor)
SPA	Single Page Application
SSE	Server-Sent Events
STCG	Short-Term Capital Gains
STL	Seasonal and Trend decomposition using LOESS
TTL	Time-To-Live
UI/UX	User Interface / User Experience
UTC	Coordinated Universal Time
VaR	Value at Risk
VIX	Volatility Index
VWAP	Volume-Weighted Average Price
WML	Winners Minus Losers (momentum factor)

Chapter 1

Introduction

1.1 Background

India's equity market has undergone a transformational expansion in retail investor participation over the past decade. The number of demat (dematerialized) accounts in India crossed 150 million in 2024, with the National Stock Exchange (NSE) recording average daily turnover exceeding INR 1 lakh crore. Monthly inflows through Systematic Investment Plans (SIPs) surpassed INR 20,000 crore, reflecting a fundamental shift in how Indian households allocate savings — from traditional fixed deposits and gold to equity markets.

Despite this unprecedented surge in participation, a fundamental asymmetry persists between retail and institutional investors. Institutional investors — mutual funds, hedge funds, proprietary trading desks, and quantitative research firms — routinely employ sophisticated analytical frameworks: ARIMA and GARCH models for time-series and volatility forecasting, Fama-French multi-factor models for risk decomposition, Markowitz mean-variance optimization for portfolio construction, and Monte Carlo simulations for probabilistic wealth projection. These tools, grounded in decades of academic research, provide systematic, data-driven decision support that significantly outperforms heuristic or sentiment-based approaches.

The democratization imperative is further underscored by the digital transformation of India's financial infrastructure. The Unified Payments Interface (UPI), Aadhaar-based KYC, and the proliferation of discount brokerages (Zerodha, Groww, Upstox, Angel One) have eliminated traditional barriers to market entry. A first-time investor can now open a demat account and place a trade within minutes using a smartphone. However, the analytical tools available to these new participants remain fundamentally limited compared to institutional resources.

Retail investors, by contrast, typically rely on tips from social media, rudimentary chart patterns, or broker recommendations. The tools available to them — mobile trading applications (Zerodha, Groww, Angel One), screening platforms (Screener.in), and charting tools (TradingView) — provide fragments of the analytical picture but fail to integrate quantitative modelling, machine learning inference, and natural-language advisory into a coherent, actionable workflow.

The emergence of Large Language Models (LLMs) in 2022–2024 has introduced a new dimension to this landscape. Models such as GPT-4, Llama 3, and Claude can engage in sophisticated financial discussions, explain complex concepts, and generate structured analyses. However, standalone LLMs suffer from a critical limitation: they lack access to real-time

market data, live technical signals, and user-specific portfolio context. Their advice, while articulate, is inevitably generic and potentially outdated.

PaisaPro.ai was conceived to bridge these gaps by integrating classical quantitative finance, modern machine learning, and agentic LLM capabilities into a single, accessible web platform specifically designed for Indian retail investors.

1.2 Problem Statement

Three specific problems motivate this work:

1.2.1 Analytical Accessibility Gap

Econometric models (ARIMA, GARCH), risk factor models (Fama-French), and portfolio optimization (Markowitz mean-variance) require specialized knowledge in statistics, programming, and financial theory. No existing retail-oriented platform in the Indian market integrates all of these into a single, user-friendly interface. An Indian retail investor seeking comprehensive analysis must currently use multiple disconnected tools: Screener.in for fundamentals, TradingView for technicals, Groww or Zerodha for portfolio tracking, and ChatGPT for general advice — a fragmented experience that hinders coherent decision-making.

1.2.2 Contextual AI Advisory Limitation

General-purpose LLMs (ChatGPT, Llama, Claude) can discuss financial concepts but lack access to live market data, real-time technical signals, and user-specific financial profiles. Their advice is therefore generic and potentially outdated. A system that injects real-time quantitative context into the LLM's reasoning process — and further enables the LLM to autonomously invoke analytical tools — would produce significantly more actionable guidance.

1.2.3 Fragmented Tool Landscape

The Indian retail investor ecosystem consists of isolated, single-purpose tools. There exists no unified platform that combines:

- Technical analysis with composite signal generation
- Machine learning classification, regression, and anomaly detection
- Time-series forecasting (ARIMA, ETS)
- Volatility modelling (GARCH)
- Risk factor decomposition (Fama-French)
- Portfolio optimization (Markowitz)
- Wealth planning (Monte Carlo)
- AI-powered natural-language advisory

- Real-time portfolio tracking

into a coherent, data-consistent platform with a shared analytical foundation.

1.3 Aim

The aim of this project is to design, develop, and deploy **PaisaPro.ai**, an end-to-end AI-powered investment advisory platform tailored specifically for the Indian equity market (NSE/BSE). The platform seeks to democratize access to institutional-grade financial analytics by packaging quantitative finance capabilities into an intuitive, real-time web application accessible to retail investors.

1.4 Objectives

The project is guided by the following specific objectives:

1. **Automated Market Data Pipeline:** Build a pipeline that ingests daily OHLCV data for the Nifty 500 universe from Yahoo Finance (yfinance), persists it in a cloud-hosted PostgreSQL database (Supabase), and maintains a multi-tier caching architecture for sub-second query response times.
2. **Technical Analysis Engine:** Implement seven key indicators — RSI(14), MACD(12,26,9), Bollinger Bands(20,2), ATR(14), ADX(14), VWAP, and OBV — and synthesize them into a weighted composite signal (BUY/HOLD/SELL) with confidence scoring.
3. **ML Classification and Anomaly Detection:** Develop a Random Forest classifier for 5-day price direction prediction, an Isolation Forest for anomaly detection, and K-Means clustering (k=4) for stock segmentation.
4. **ML Regression Engine:** Build a multi-model regression ensemble (Random Forest, ElasticNet, HistGradientBoosting) with walk-forward cross-validation, OHLC microstructure features, and comprehensive evaluation metrics.
5. **Time-Series Forecasting:** Implement ARIMA (with ADF/KPSS stationarity testing and AIC-based order selection) and Holt-Winters Exponential Smoothing for 30-day price forecasting.
6. **Volatility Forecasting:** Build a GARCH(1,1) module with regime classification (LOW/NORMAL/HIGH volatility cones, and entry/exit signals.
7. **Risk Factor Decomposition:** Implement a Fama-French-inspired 4-factor model (Market, Size, Value, Momentum) with OLS regression.
8. **Sector Rotation Analysis:** Construct multi-horizon momentum scores (1M/3M/6M/12M) with market phase detection.
9. **Monte Carlo Wealth Planning:** Develop 1,000-simulation Monte Carlo projections with SIP step-up and goal-based reverse planning.

10. **Agentic AI Advisor:** Integrate Groq Llama 3.3 70B with function calling (4 live tools), portfolio context injection, and SSE streaming.
11. **AI Portfolio Builder:** Build an LLM-powered portfolio construction tool with diversification constraints.
12. **News Sentiment Analysis:** Implement a keyword-based sentiment pipeline from Google News RSS feeds.
13. **Responsive Frontend:** Design an 18-page React/TypeScript frontend with Recharts visualizations, streaming chat, and dark/light theming.
14. **Production Deployment:** Deploy the backend on Hugging Face Spaces (Docker) and frontend on Netlify CDN.

1.5 Scope of the Project

The platform covers the following scope:

- **Market Coverage:** NSE-listed equities in the Nifty 500 index, plus major indices (Nifty 50, Sensex, Bank Nifty) and macroeconomic indicators (India VIX, USD/INR, Gold, Crude Oil).
- **Data Frequency:** Daily OHLCV data with historical windows from 1 to 5 years and forecast horizons up to 90 trading days.
- **User Persona:** Indian retail investors with basic market knowledge, seeking data-driven insights without requiring programming or statistical expertise.
- **Deployment:** Cloud-hosted production system accessible via web browser.
- **Disclaimer:** The platform provides educational insights only and is not registered with SEBI as an investment advisor.

1.6 Organization of the Report

This report is organized as follows:

- **Chapter 1: Introduction** — Presents the background, problem statement, objectives, and scope.
- **Chapter 2: Literature Review** — Surveys existing research in technical analysis, time-series forecasting, volatility modelling, factor models, portfolio optimization, Monte Carlo simulation, and LLM applications in finance.
- **Chapter 3: System Analysis and Design** — Details the requirements analysis, system architecture, database design, and UML diagrams.
- **Chapter 4: Methodology** — Describes the mathematical foundations, algorithms, and models implemented.
- **Chapter 5: Implementation** — Covers the technology stack, project structure, key code implementations, and deployment configuration.

- **Chapter 6: Results and Discussion** — Presents the system outputs, model performance metrics, and UI screenshots.
- **Chapter 7: Conclusion and Future Work** — Summarizes contributions, limitations, and directions for future enhancement.

Chapter 2

Literature Review

This chapter provides a comprehensive review of the academic literature underlying each analytical component of PaisaPro.ai. The review spans technical analysis, time-series econometrics, volatility modelling, factor models, portfolio theory, Monte Carlo methods, machine learning in finance, and the emerging application of Large Language Models to financial advisory.

2.1 Technical Analysis and Signal Generation

Technical analysis, the study of past price and volume patterns to forecast future price movements, has been a subject of academic debate since Fama's (1970) Efficient Market Hypothesis (EMH). While the weak form of EMH suggests that past prices should not predict future returns, a substantial body of empirical work has demonstrated the predictive value of technical indicators in emerging markets.

Brock, Lakonishok, and LeBaron (1992) found that simple technical trading rules — moving averages and trading range breaks — generated statistically significant returns on the Dow Jones Industrial Average over a 90-year sample period. Their work challenged the prevailing view that technical analysis was devoid of predictive content. Metghalchi et al. (2012) subsequently confirmed the profitability of moving average rules in several emerging markets, including India.

The **Relative Strength Index (RSI)**, introduced by Wilder (1978), measures the velocity and magnitude of directional price movements on a 0–100 scale. Values below 30 indicate oversold conditions (potential buying opportunities), while values above 70 indicate overbought conditions. The **Moving Average Convergence Divergence (MACD)**, developed by Appel (1979), captures momentum through the relationship between two exponential moving averages (typically 12-day and 26-day). **Bollinger Bands** (Bollinger, 2002) define dynamic support and resistance levels based on standard deviation envelopes around a 20-day moving average.

More recently, Neely et al. (2014) demonstrated that combining multiple technical predictors into an ensemble improves forecast accuracy compared to any individual indicator. This finding motivates the weighted composite signal approach adopted in PaisaPro.ai, where seven indicators contribute directional votes with empirically determined weights.

2.2 Time-Series Forecasting in Financial Markets

2.2.1 ARIMA Models

The Box-Jenkins ARIMA methodology (Box & Jenkins, 1970) remains a cornerstone of financial time-series modelling. An ARIMA(p, d, q) model captures three components:

- **Autoregressive (AR) component:** Current value depends on p lagged values
- **Integrated (I) component:** d-th order differencing to achieve stationarity
- **Moving Average (MA) component:** Current value depends on q lagged forecast errors

The Augmented Dickey-Fuller (ADF) test (Dickey & Fuller, 1979) provides a statistical framework for determining the required order of differencing, testing the null hypothesis of a unit root. The Kwiatkowski-Phillips-Schmidt-Shin (KPSS) test offers a complementary perspective, testing the null hypothesis of stationarity. Using both tests together (as implemented in PaisaPro.ai) provides robust stationarity assessment.

The Akaike Information Criterion (AIC; Akaike, 1974) enables objective model order selection by balancing goodness-of-fit against model complexity, penalizing over-parameterization. Automated ARIMA fitting using AIC-based grid search, as implemented in PaisaPro.ai, aligns with the methodology of Hyndman and Khandakar (2008) in their widely used `auto.arima` algorithm.

2.2.2 Exponential Smoothing

Holt-Winters Exponential Smoothing (Holt, 1957; Winters, 1960) offers an alternative time-series forecasting approach that decomposes the series into level, trend, and seasonal components through exponentially weighted averages. Gardner and McKenzie (1985) introduced the **damped trend** variant, which attenuates the trend component over the forecast horizon — a modification shown to improve long-horizon accuracy in financial applications where trends do not persist indefinitely.

2.2.3 Seasonal Decomposition

Seasonal and Trend decomposition using LOESS (STL; Cleveland et al., 1990) provides a non-parametric method for separating a time series into trend, seasonal, and residual components. While daily stock data lacks strong annual seasonality, weekly patterns (day-of-week effects) have been documented in various markets (French, 1980). PaisaPro.ai uses a period of 5 trading days for seasonal decomposition.

2.3 Volatility Modelling

2.3.1 GARCH Models

The GARCH (Generalized Autoregressive Conditional Heteroskedasticity) model, introduced by Bollerslev (1986) as a generalization of Engle's (1982) ARCH model, is the standard framework for modelling time-varying volatility in financial returns. The key insight is that financial return volatility is not constant but exhibits *volatility clustering*: periods of high volatility tend to be followed by high volatility, and periods of low volatility by low volatility.

The GARCH(1,1) specification is the most widely used variant, where conditional variance depends on one lagged squared return (the ARCH term, α) and one lagged conditional variance (the GARCH term, β). The persistence parameter ($\alpha + \beta$) indicates how quickly volatility reverts to its long-run mean. Nelson (1991) showed that persistence values close to 1.0 are typical for daily equity returns.

2.3.2 Volatility Regimes and Cones

Volatility regimes — periods of sustained high or low volatility — have been extensively studied by Hamilton and Susmel (1994) using Markov-switching models. The **volatility cone** concept, introduced by Burghardt and Lane (1990), provides a term-structure view of realized volatility across multiple horizons, enabling investors to assess whether current conditions are historically elevated or depressed.

2.4 Factor Models and Risk Decomposition

The Capital Asset Pricing Model (CAPM; Sharpe, 1964; Lintner, 1965) established that a stock's expected return is determined by its exposure to a single factor — market risk (β). The model predicts that the expected excess return of any asset is proportional to its beta times the market risk premium.

Fama and French (1993) extended this framework to a **three-factor model** by adding:

- **SMB (Small Minus Big):** Returns of small-cap stocks minus large-cap stocks, capturing the size premium
- **HML (High Minus Low):** Returns of high book-to-market stocks minus low book-to-market stocks, capturing the value premium

Carhart (1997) further augmented the model with a **momentum factor (WML: Winners Minus Losers)**, capturing the well-documented tendency of recent winners to continue outperforming (Jegadeesh & Titman, 1993). The resulting four-factor model explains a significantly larger proportion of cross-sectional return variation than CAPM alone.

The alpha (α) in these regressions represents the component of a stock's return not explained by its factor exposures — interpreted as either genuine stock-picking skill or unexploited mispricing.

2.5 Portfolio Optimization

Markowitz's (1952) **mean-variance framework** remains the theoretical foundation for portfolio optimization. The efficient frontier — the set of portfolios offering maximum expected return for each level of risk — is constructed by solving a quadratic optimization problem subject to weight constraints (fully invested, no short selling).

In practice, the Markowitz framework is sensitive to estimation error in expected returns and covariance matrices (Michaud, 1989). Several approaches address this: robust optimization (Goldfarb & Iyengar, 2003), shrinkage estimators (Ledoit & Wolf, 2004), and Monte Carlo resampling (Michaud & Michaud, 2008). PaisaPro.ai uses a combination of Monte Carlo random portfolio generation (2,000 samples) and scipy constrained optimization (SLSQP) to approximate the efficient frontier and identify key portfolios.

2.6 Monte Carlo Simulation in Financial Planning

Monte Carlo simulation, first applied to finance by Boyle (1977) for option pricing, has become a standard tool for wealth projection and retirement planning. By sampling from the distribution of possible returns, the method generates thousands of possible wealth trajectories, providing distributional statistics (percentiles, probability of loss) rather than deterministic single-point estimates.

Pfau (2015) advocated Monte Carlo simulation for retirement planning, emphasizing the importance of presenting outcomes as probability distributions rather than expected values. The approach naturally accommodates features such as annual contribution increases (SIP step-up), which are particularly relevant to Indian investors who systematically increase their monthly investments over time.

2.7 Machine Learning in Financial Markets

2.7.1 Random Forests

Random Forests (Breiman, 2001) are an ensemble learning method that constructs multiple decision trees during training and outputs the mode (classification) or mean (regression) of individual trees. The method's built-in feature importance, robustness to overfitting, and ability to capture nonlinear relationships make it particularly suitable for financial applications where feature interactions are complex and datasets are moderately sized.

Krauss, Do, and Huck (2017) demonstrated that Random Forest models achieved statistically significant returns in S&P 500 stock selection, outperforming logistic regression and neural networks in their sample. The approach has been widely adopted for directional prediction in equity markets.

2.7.2 Gradient Boosting

Gradient Boosting (Friedman, 2001) builds an additive model in a forward stage-wise fashion, where each new tree is fit to the residuals of the previous ensemble. HistGradientBoosting (Ke et al., 2017), a histogram-based variant, provides significant speed improvements through binning of continuous features. The method's ability to handle heterogeneous feature types and its built-in early stopping mechanism make it well-suited for financial regression tasks.

2.7.3 Anomaly Detection with Isolation Forest

Isolation Forest (Liu, Ting, & Zhou, 2008) is an unsupervised anomaly detection algorithm based on the principle that anomalies are "few and different." The method isolates observations by recursively partitioning the feature space; anomalous points require fewer partitions to isolate. This approach is computationally efficient and effective for detecting unusual price movements and volume spikes in financial data.

2.7.4 Clustering with K-Means

K-Means clustering (Lloyd, 1982; MacQueen, 1967) partitions observations into k clusters by minimizing within-cluster variance. In financial applications, clustering stocks by risk-return characteristics enables portfolio diversification insights. Nanda, Mahanty, and Tiwari (2010) applied K-Means to Indian stock market data, demonstrating its utility for identifying behaviorally similar stock groups.

2.8 Large Language Models in Financial Advisory

The application of LLMs to financial advisory is a rapidly evolving field. **BloombergGPT** (Wu et al., 2023) demonstrated the value of domain-specific pretraining on financial text, achieving state-of-the-art performance on financial NLP benchmarks. Wu et al. trained a 50-billion parameter model on a curated corpus of 363 billion tokens from financial documents (SEC filings, earnings transcripts, Bloomberg terminal data), achieving substantial improvements over general-purpose models on tasks including sentiment analysis, named entity recognition, and financial question answering.

FinGPT (Yang et al., 2023) explored open-source LLMs for financial applications, emphasizing the importance of real-time data integration and the limitations of static, pre-trained

knowledge. Their framework demonstrated that fine-tuning smaller open-source models (Llama, Falcon) on curated financial data can approach the performance of proprietary models at a fraction of the cost. This finding supports PaisaPro.ai's choice of Llama 3.3 70B via the Groq inference platform.

A critical limitation of standalone LLMs is their lack of access to real-time market data and quantitative analytics. PaisaPro.ai addresses this through an approach inspired by Retrieval-Augmented Generation (RAG; Lewis et al., 2020): the system injects live market context directly into the LLM's system prompt and further enables the LLM to autonomously invoke analytical tools through function calling — a capability that moves beyond static RAG toward agentic AI.

The RAG framework, originally proposed for open-domain question answering, has proven highly effective in financial applications where the knowledge base changes continuously. Unlike fine-tuning (which embeds knowledge in model weights), RAG maintains a clear separation between the model's reasoning capability and the data it reasons about. This separation ensures that the AI advisor always works with the most current market data, regardless of the model's training cutoff date.

Schick et al. (2023) introduced the concept of tool-augmented language models (**Toolformer**), demonstrating that LLMs can learn to use external tools to improve their capabilities. Their key insight was that models could be trained to insert API calls into their generated text at appropriate points, effectively learning *when* and *how* to use tools without explicit instruction. PaisaPro.ai's implementation of function calling with four live tools (stock analysis, macro dashboard, news sentiment, screener) follows this paradigm, enabling the AI advisor to ground its recommendations in current quantitative evidence.

The choice of Groq as the LLM inference provider is motivated by latency requirements. Groq's custom Language Processing Units (LPUs) achieve inference speeds of 500+ tokens per second for Llama 3.3 70B, enabling real-time streaming responses that feel conversational. Traditional GPU-based inference at comparable model sizes typically achieves 30–100 tokens per second, which would result in unacceptable wait times for an interactive advisory experience.

2.9 Sentiment Analysis in Finance

News sentiment analysis for financial applications has been extensively studied. Tetlock (2007) demonstrated that media pessimism predicts downward pressure on stock prices. Loughran and McDonald (2011) developed a finance-specific word list that outperforms general-purpose sentiment lexicons for financial text classification.

While transformer-based approaches such as FinBERT (Araci, 2019) offer superior accuracy, keyword-based lexicon methods provide advantages in interpretability, speed, and zero-cost operation. PaisaPro.ai employs a curated financial lexicon with 40+ positive and 40+ negative terms, applied to Google News RSS feeds for the top 25 NSE-listed stocks.

2.10 Agentic AI and Tool-Augmented LLMs

The concept of *agentic AI* — systems where an LLM can autonomously decide when and how to invoke external tools — represents a paradigm shift from traditional chatbot architectures. Yao et al. (2023) introduced **ReAct** (Reasoning + Acting), a framework that interleaves chain-of-thought reasoning with action execution. In ReAct, the model generates reasoning traces explaining its thought process and then decides which action (tool call) to take next, observing the result before continuing. This approach significantly outperforms pure chain-of-thought reasoning on tasks requiring access to external knowledge.

OpenAI's function calling mechanism (2023) formalized this paradigm by allowing LLMs to output structured JSON that maps to predefined function signatures. The model decides *when* to call a function, *which* function to call, and *what arguments* to pass — all based on the user's natural language query and the function descriptions provided in the system prompt. This capability transforms the LLM from a static text generator into a dynamic reasoning agent.

In the financial domain, agentic AI addresses a fundamental limitation of standalone LLMs: the inability to access real-time data. An AI financial advisor without live market data is analogous to a doctor without access to patient records — the advice may be directionally sound but lacks the specificity needed for actionable decisions. By equipping the LLM with tools that fetch live stock analysis, macroeconomic indicators, news sentiment, and stock screening results, PaisaPro.ai enables the AI advisor to ground every recommendation in current quantitative evidence.

The multi-tool orchestration in PaisaPro.ai draws from the **Toolformer** framework (Schick et al., 2023), which demonstrated that language models can learn to use calculators, search engines, translators, and calendars in a self-supervised manner. The key design insight is that the model should decide *autonomously* when tool use is needed, rather than being explicitly instructed by the user.

2.11 Caching and Performance Optimization in Financial Systems

Real-time financial systems impose strict latency requirements. Users expect sub-second response times for portfolio views, stock analysis, and screener queries. Patterson (2004) established that latency above 400ms significantly degrades user experience, while response times below 100ms feel instantaneous.

Multi-tier caching architectures address this through a hierarchy of storage layers with decreasing latency and increasing capacity. The most common pattern in financial applications is:

1. **L1 (In-Memory):** Python dictionaries or Redis, sub-millisecond access, TTL-based in-

validation

2. **L2 (Application Cache):** HTTP response caching, CDN edge caching for static content
3. **L3 (Database):** PostgreSQL with indexed queries, materialized views for precomputed analytics

PaisaPro.ai implements a sophisticated in-memory TTL cache with five expiry levels (5 minutes for live prices through 24 hours for computed analytics), prefix-based invalidation for efficient cache management, and a daily pre-warm pipeline that ensures cached analytics are ready before market opens.

2.12 Web Application Architecture for Financial Platforms

Modern financial web platforms face unique architectural challenges: real-time data streaming, complex state management, and the need to render dense numerical data with interactive visualizations. React (Meta, 2013) has become the dominant frontend framework for financial applications due to its component-based architecture, virtual DOM for efficient updates, and rich ecosystem of charting libraries.

Server-Sent Events (SSE), as specified in the W3C EventSource API, provide a lightweight alternative to WebSockets for server-to-client streaming. SSE is particularly well-suited for LLM token streaming, where the communication is inherently unidirectional (server to client). Compared to WebSockets, SSE offers simpler server implementation, automatic reconnection, and compatibility with HTTP/2 multiplexing (Grigorik, 2013).

The Backend-for-Frontend (BFF) pattern, articulated by Newman (2015), advocates for a dedicated API layer tailored to the needs of specific frontend applications. PaisaPro.ai's FastAPI backend serves as a BFF, aggregating multiple data sources (Supabase, yfinance, Groq) into cohesive endpoint responses optimized for the React frontend's component structure.

2.13 Indian Equity Market Context

The Indian equity market presents unique characteristics that influence the design of analytical platforms. The National Stock Exchange (NSE), established in 1992, is the world's largest derivatives exchange by volume and one of the top five global exchanges by equity trading volume. The Nifty 50 index, comprising the 50 largest NSE-listed companies by market capitalization, serves as the primary benchmark.

Several market microstructure features distinguish the Indian equity market from developed markets:

1. **Retail Participation Growth:** The number of demat accounts in India crossed 180 million in 2025, with new account openings accelerating after the COVID-19 pandemic. This growth is concentrated among first-time investors aged 18–35 who primarily use

mobile applications for trading. This demographic requires accessible, jargon-free analytical tools — a core design goal of PaisaPro.ai.

2. **Sectoral Concentration:** The Nifty 50 is heavily concentrated in financial services (35–40% weight), IT services (12–15%), and energy (10–12%). This concentration creates systematic sector rotation patterns that the sector analysis module in PaisaPro.ai is designed to detect and track.

3. **Foreign Institutional Investment (FII) Flows:** FII flows are a dominant driver of short-term market direction in India. Net FII buying/selling data, published daily by NSDL/CDSL, creates detectable patterns in volume and price data that the ML models can potentially capture.

4. **Regulatory Environment:** SEBI (Securities and Exchange Board of India) maintains strict regulations on investment advisory services. Any platform providing "personalized investment advice" must be registered as a SEBI Registered Investment Advisor (RIA). PaisaPro.ai positions itself as an educational analytics tool rather than a registered advisor, with appropriate disclaimers.

5. **Tax Implications:** Indian equity taxation distinguishes between Short-Term Capital Gains (STCG, held $<$12 months, taxed at 15%) and Long-Term Capital Gains (LTCG, held $>$12 months, taxed at 10% above INR 1 lakh). The Monte Carlo wealth projection module accounts for these tax rates in its projections.

6. **Rupee-Denominated Analysis:** All analytics in PaisaPro.ai are denominated in Indian Rupees (INR), with risk-free rates based on the 10-year Indian Government Securities (G-Sec) yield rather than US Treasury rates. This ensures that risk metrics, factor models, and portfolio optimization outputs are directly relevant to Indian investors.

These market-specific considerations influenced multiple design decisions in PaisaPro.ai, from the choice of Nifty 500 as the stock universe to the inclusion of macro indicators (India VIX, USD/INR exchange rate, Gold, Crude Oil) that are particularly relevant to Indian market dynamics.

Chapter 3

System Analysis and Design

3.1 Requirements Analysis

3.1.1 Functional Requirements

The following functional requirements were identified through analysis of the problem domain and target user needs:

ID	Requirement	Description
FR-01	Market Data Ingestion	System shall ingest daily OHLCV data for 500+ NSE stocks and persist in PostgreSQL
FR-02	Technical Analysis	System shall compute RSI, MACD, BB, ATR, ADX, VWAP, OBV and generate composite signals
FR-03	ML Classification	System shall train Random Forest classifier for 5-day directional prediction
FR-04	ML Regression	System shall train ensemble regression models (RF, ElasticNet, GBM) for return forecasting
FR-05	Anomaly Detection	System shall detect price spikes, volume spikes using Isolation Forest
FR-06	Stock Clustering	System shall segment stocks into 4 clusters using K-Means
FR-07	Time-Series Forecasting	System shall fit ARIMA and ETS models with automated parameter selection
FR-08	Volatility Forecasting	System shall fit GARCH(1,1) model with regime classification
FR-09	Risk Factor Analysis	System shall decompose returns using 4-factor model (Market, Size, Value, Momentum)
FR-10	Portfolio Optimization	System shall optimize portfolios using Markowitz MVO with Monte Carlo
FR-11	Wealth Planning	System shall project wealth using Monte Carlo simulation (1,000 paths)

ID	Requirement	Description
FR-12	Goal Planning	System shall compute required SIP for target wealth via binary search
FR-13	AI Advisory	System shall provide streaming AI chat with real-time context injection
FR-14	Tool Use	AI advisor shall invoke analytical tools (stock analysis, macro, news, screener)
FR-15	Portfolio Management	System shall support CRUD operations on holdings and watchlist
FR-16	News Sentiment	System shall aggregate and score news sentiment from Google News RSS
FR-17	Sector Rotation	System shall compute multi-horizon sector momentum with market phase detection
FR-18	Macro Dashboard	System shall track India VIX, USD/INR, Gold, Crude Oil with regime classification
FR-19	Stock Screener	System shall filter stocks by signal, sector, Sharpe ratio, drawdown
FR-20	Data Visualization	System shall render interactive charts (line, bar, area, scatter, pie, radar)

3.1.2 Non-Functional Requirements

ID	Requirement	Description
NFR-01	Performance	Cached API responses shall be served within 100ms
NFR-02	Scalability	Backend shall support concurrent analytical requests via ThreadPoolExecutor
NFR-03	Availability	System shall be accessible 24/7 via cloud deployment
NFR-04	Data Freshness	Stock data shall be refreshed daily after market close (6 PM IST)
NFR-05	Security	API keys shall be stored as environment variables, never in client code
NFR-06	Usability	Frontend shall support dark/light themes and responsive layout
NFR-07	Maintainability	Backend shall be decomposed into independent service modules

ID	Requirement	Description
NFR-08	Portability	Backend shall be containerized via Docker for deployment flexibility

3.2 System Architecture

3.2.1 Architectural Philosophy

PaisaPro.ai adopts a **layered monolithic architecture** with clear separation of concerns, inspired by Domain-Driven Design (DDD) principles (Evans, 2003) and the Clean Architecture model (Martin, 2017). The system is decomposed into four logical layers — Presentation, Application, Domain (Services), and Data — each with well-defined responsibilities and unidirectional dependency flow.

This architectural choice balances the simplicity and deployment ease of a monolith with the modularity of microservices. Each analytical service is implemented as an independent Python module with its own cache, enabling horizontal feature scaling without inter-service communication overhead.

3.2.2 High-Level Architecture

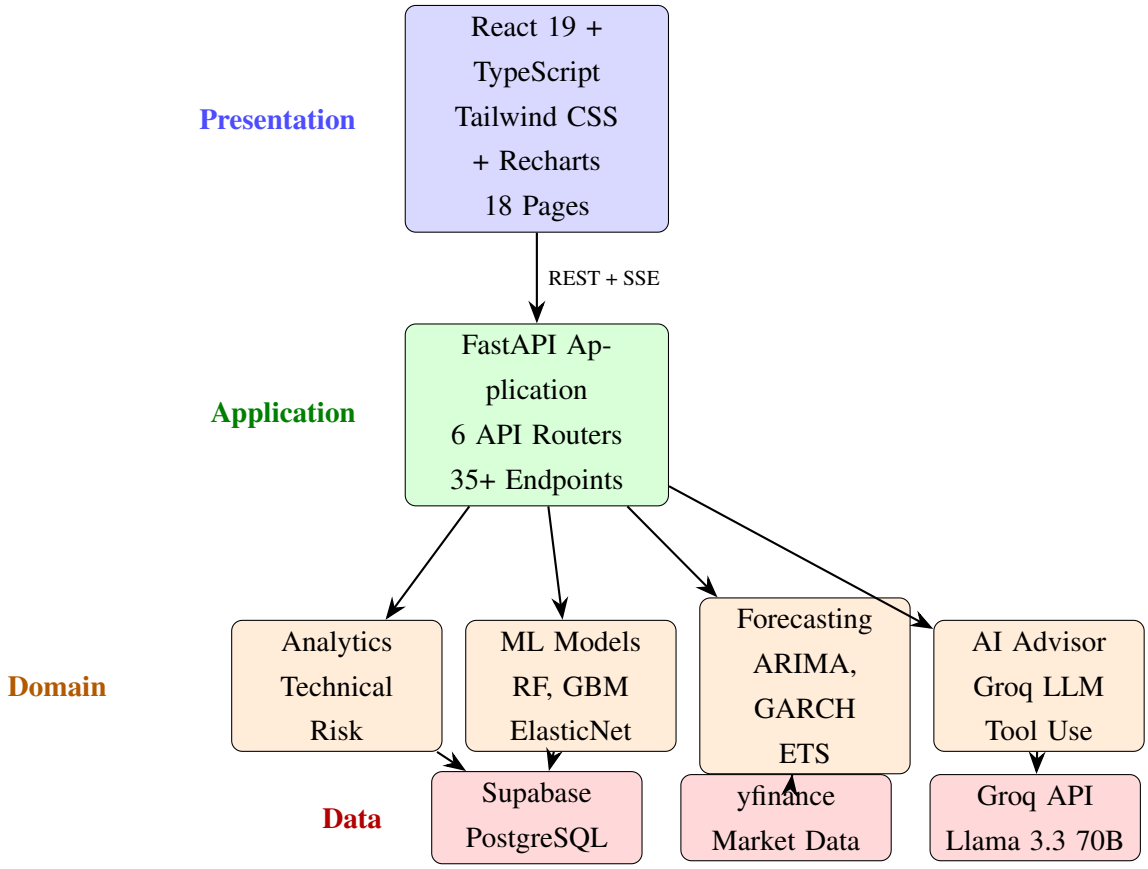

Figure 3.1: High-level system architecture of PaisaPro.ai

3.2.3 Component Architecture

The backend is composed of 19 independent service modules, organized into the following categories:

Table 3.3: Backend service module inventory

Category	**Module**	**Responsibility**
Core Analytics	analytics.py	Orchestrator, technical signals, stock universe, shared DF cache
	technical.py	7-indicator weighted composite signal computation
	risk.py	Sharpe, beta, VaR, drawdown, Isolation Forest anomalies
Machine Learning	ml/classifier.py	Random Forest BUY/HOLD/SELL classification
	ml/clustering.py	K-Means (k=4) stock segmentation
	ml/model_store.py	PKL serialization for model persistence
	ml_regression.py	3-model ensemble (RF, ElasticNet, GBM) return forecasting
Forecasting	timeseries.py	ARIMA, Holt-Winters ETS, seasonal decomposition
	volatility.py	GARCH(1,1), volatility cones, regime classification
Factor/Sector	risk_factors.py	Fama-French 4-factor OLS decomposition
	sector_rotation.py	Multi-horizon momentum, market phase
	macro.py	India VIX, USD/INR, Gold, Crude Oil, regime
AI & NLP	ai_advisor.py	Groq LLM with function calling, SSE streaming
	ai_portfolio.py	LLM-powered portfolio construction
	news_sentiment.py	Google News RSS, keyword lexicon scoring
Portfolio	portfolio.py	Holdings & watchlist CRUD, P&L tracking
	portfolio_optimizer.py	Markowitz MVO, efficient frontier
	portfolio_backtester.py	Strategy backtesting vs benchmark
Planning	financial_engine.py	SIP calculator, goal solver, asset allocation
	monte_carlo.py	1,000 simulations, percentile wealth trajectories
Data Access	market_data.py	Unified data source: cache $\rightarrow$ Supabase $\rightarrow$ yfinance

3.2.4 Data Flow Architecture

The system implements a **unidirectional data flow** pattern. Data originates from external sources (yfinance, Google News RSS), flows through ingestion, storage, computation, and caching layers, and is ultimately delivered to the frontend via REST/SSE endpoints.

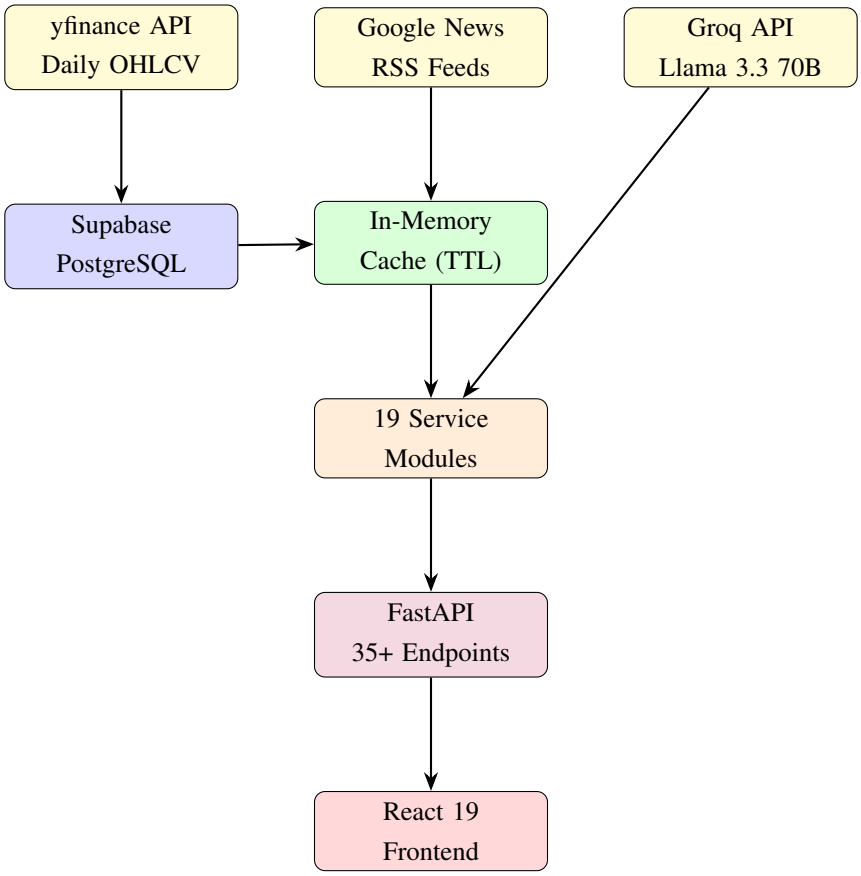

Figure 3.2: Data flow pipeline from external sources to frontend

3.2.5 Deployment Architecture

The production deployment spans three cloud platforms:

Table 3.4: Deployment configuration

Component	Platform	Protocol	Configuration
Frontend	Netlify CDN	HTTPS	SPA redirect, Vite build, auto-deploy
Backend	HF Spaces	HTTPS	Docker, Python 3.12, Uvicorn, port 7860
Database	Supabase	PostgREST	Managed PostgreSQL, RLS enabled
LLM	Groq Cloud	HTTPS	OpenAI-compatible API, SSE streaming

3.3 Database Design

3.3.1 Entity-Relationship Model

The database consists of six primary tables stored in Supabase (managed PostgreSQL):

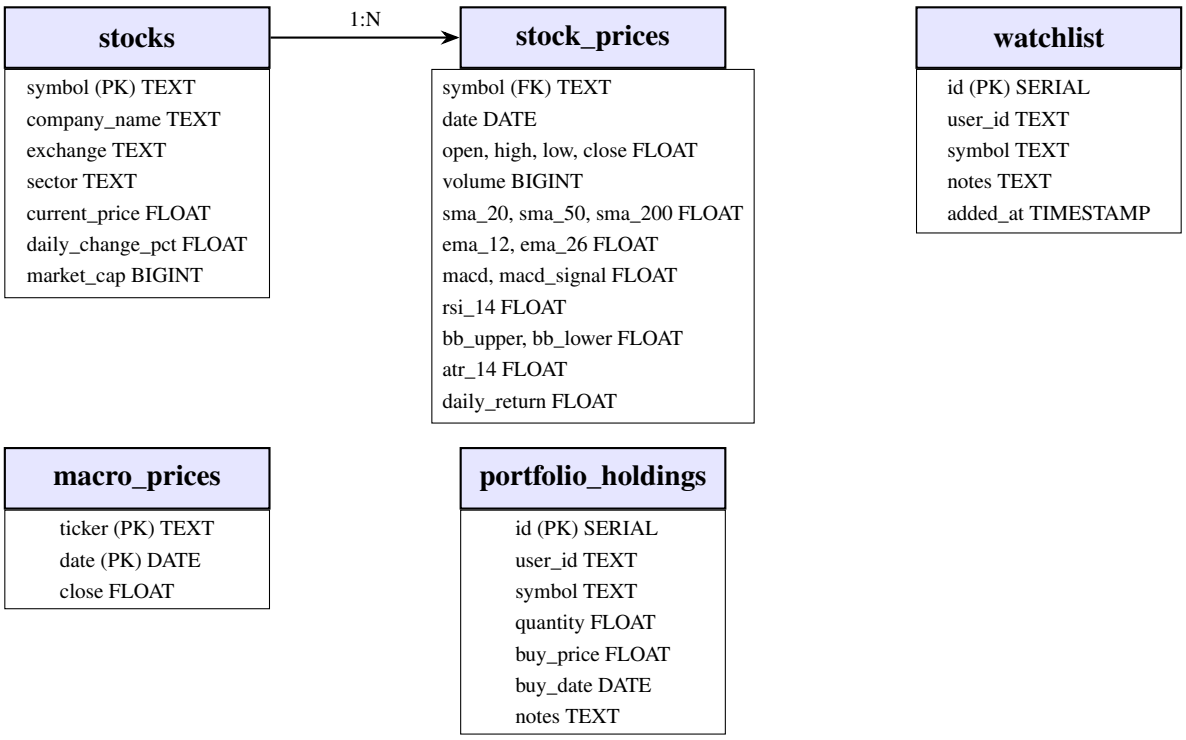

Figure 3.3: Entity-Relationship diagram for the PaisaPro.ai database

3.3.2 Indexing Strategy

Table 3.5: Database indexing strategy

Index	Table	Purpose
(symbol, date) UNIQUE	stock_prices	Fast lookup + upsert deduplication
(symbol)	stock_prices	Per-stock history queries
(date)	stock_prices	Cross-stock date range queries
(ticker, date) UNIQUE	macro_prices	Macro data deduplication
(sector)	stocks	Sector-based filtering
(user_id)	portfolio_holdings	User-specific portfolio queries

3.4 API Design

The backend exposes 35+ RESTful endpoints organized into 6 routers under the `/api/v1/` prefix:

Router	Method	Endpoint	Description
Advisor	POST	/chat	Non-streaming AI chat
	POST	/chat/stream	SSE streaming AI chat with tool use
Analytics	GET	/report	Full ML analytics report
	GET	/market-overview	Sector heatmap, gainers, losers, anomalies
	GET	/stock-signals	Technical signals for all stocks
	GET	/stock/{symbol}	Full analysis for single stock
	GET	/screener	Multi-criteria stock screener
	POST	/portfolio-optimize	Efficient frontier optimization
	GET	/correlation	Pearson correlation matrix
	GET	/backtest/{symbol}	Strategy backtest vs benchmark
	GET	/timeseries/{symbol}	ARIMA/ETS time-series analysis
	GET	/model-health	MLOps model health dashboard
Advanced	GET	/sector-rotation	Sector momentum rankings
	GET	/volatility/{symbol}	GARCH volatility forecast
	GET	/macro	Macro indicators and regime
	POST	/risk-factors	Fama-French factor decomposition
	GET	/ml-prediction/{symbol}	Multi-model ML prediction
Portfolio	GET	/holdings	Get portfolio holdings
	POST	/holdings	Add holding
	DELETE	/holdings/{id}	Remove holding
	GET	/watchlist	Get watchlist
	POST	/watchlist	Add to watchlist
	DELETE	/watchlist/{id}	Remove from watchlist
	POST	/ai-build	AI portfolio builder
Stocks	GET	/search	Search stocks by name/symbol
	GET	/{symbol}/history	Historical OHLCV data
	GET	/indices/summary	Market indices (Nifty, Sensex)
	GET	/sectors/performance	Sector-wise performance
Planner	POST	/forward	Monte Carlo wealth projection

Router	Method	Endpoint	Description
	POST	/goal	Goal-based SIP solver

Table 3.6: Complete API endpoint reference

3.5 Caching Architecture

A multi-tier in-memory caching system minimizes latency and external API load. The `CacheManager` singleton implements TTL-based key-value storage with thread-safe operations:

Table 3.7: Cache TTL configuration by data type

Cache Key Pattern	TTL	Rationale
stock:df:{symbol}	24 hours	Price data changes only after market close
analytics:report	2 hours	Full ML pipeline is computationally expensive
ml:rf:{symbol}	24 hours	Classifier retrained daily
ml:regression:{symbol}	1 hour	Regression models evolve with new data
vol:{symbol}	1 hour	Volatility shifts faster than price trends
sector:rotation	1 hour	Momentum scores recalculated periodically
macro:dashboard	30 minutes	Macro indicators are intraday-sensitive
news:sentiment	30 minutes	News headlines change frequently
indices:summary	5 minutes	Index values need near-real-time freshness

3.6 UML Diagrams

3.6.1 Use Case Diagram

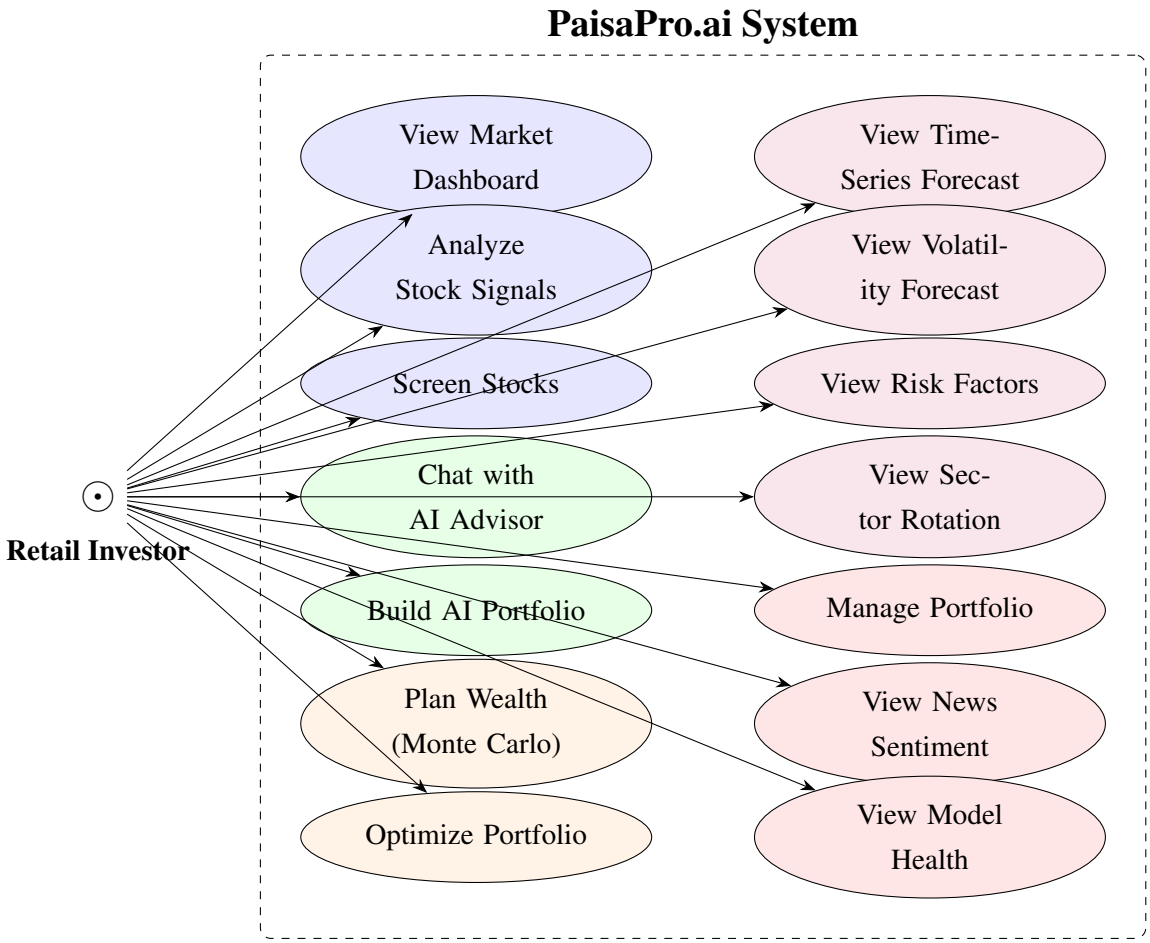

Figure 3.4: Use case diagram showing the 14 primary user interactions

3.6.2 Class Diagram (Backend Services)

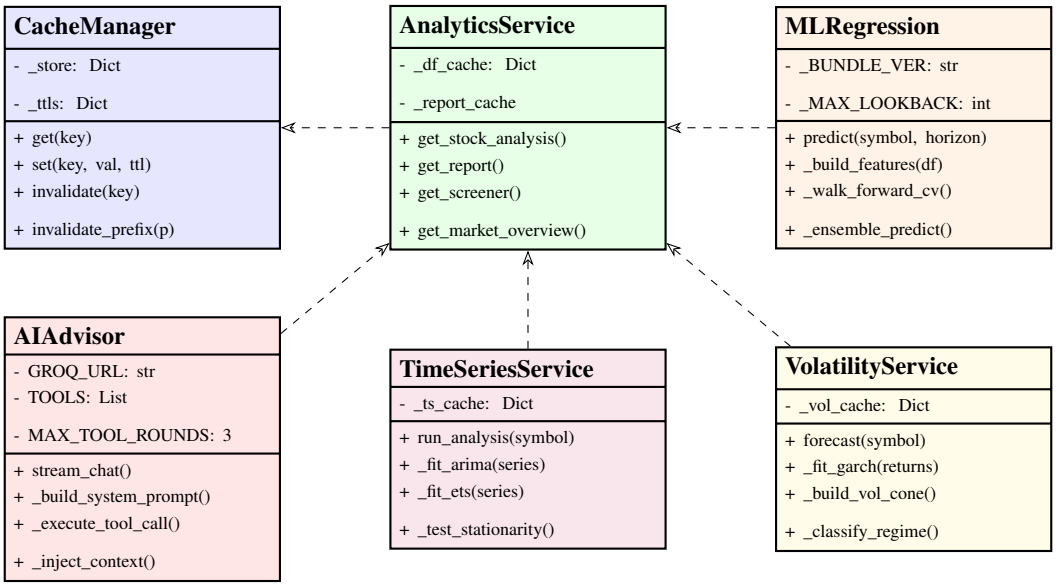

Figure 3.5: Simplified class diagram showing key backend services and their dependencies

3.6.3 Sequence Diagram: AI Advisor Chat Flow

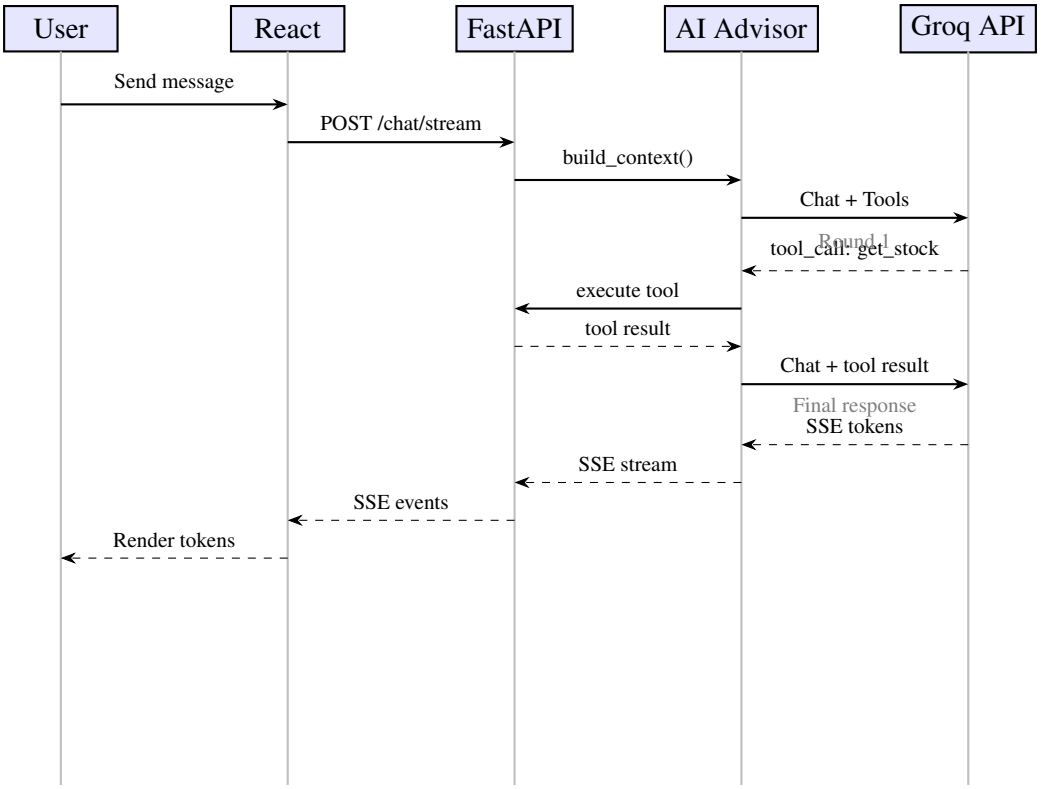

Figure 3.6: Sequence diagram for AI advisor chat with tool-use loop

3.6.4 Activity Diagram: Daily Data Refresh Pipeline

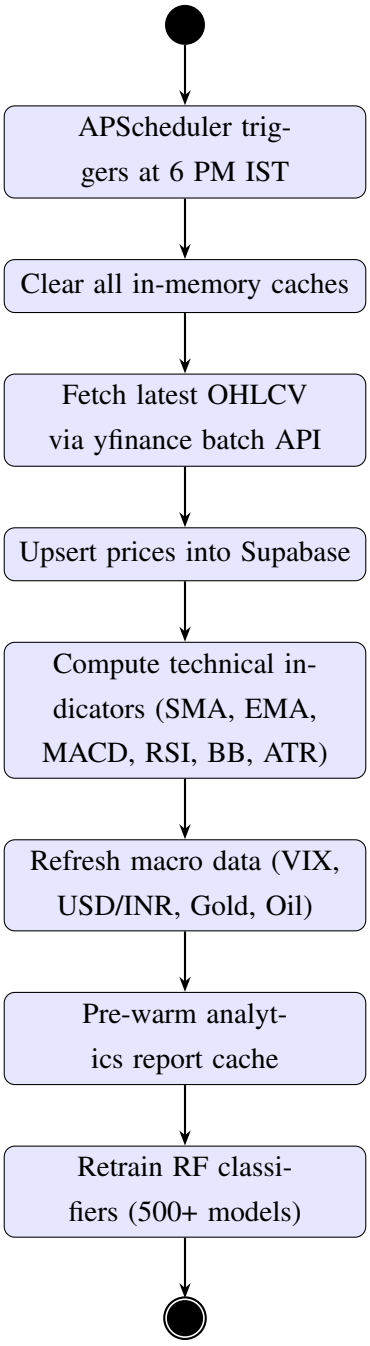

Figure 3.7: Activity diagram for the daily data refresh pipeline

Chapter 4

Methodology

This chapter details the mathematical foundations, algorithms, and computational methods implemented in each analytical module of PaisaPro.ai.

4.1 Technical Indicator Computation

All technical indicators are computed from daily OHLCV data using lookback windows appropriate to each indicator.

4.1.1 Simple Moving Average (SMA)

The Simple Moving Average of period n is defined as:

$$SMA_n(t) = \frac{1}{n}\sum_{i=0}^{n-1} C_{t-i} \tag{4.1}$$

where C_t denotes the closing price at time t. Periods of 20 (short-term trend), 50 (medium-term), and 200 (long-term) are computed. Crossovers between SMA-50 and SMA-200 generate *golden cross* (bullish) and *death cross* (bearish) signals.

4.1.2 Exponential Moving Average (EMA)

The EMA applies exponentially decaying weights to past observations:

$$EMA_n(t) = \alpha \cdot C_t + (1-\alpha) \cdot EMA_n(t-1), \quad \alpha = \frac{2}{n+1} \tag{4.2}$$

Periods of 12 and 26 are computed as inputs to the MACD calculation.

4.1.3 MACD (Moving Average Convergence Divergence)

$$MACD(t) = EMA_{12}(t) - EMA_{26}(t) \tag{4.3}$$

$$Signal(t) = EMA_9\big(MACD(t)\big) \tag{4.4}$$

$$Histogram(t) = MACD(t) - Signal(t) \tag{4.5}$$

Signal Logic: MACD above signal line → bullish (+1); below → bearish (−1). Histogram divergence indicates momentum acceleration.

4.1.4 RSI (Relative Strength Index)

$$RSI(t) = 100 - \frac{100}{1 + RS(t)}, \quad RS(t) = \frac{\overline{Gain}_{14}(t)}{\overline{Loss}_{14}(t)} \tag{4.6}$$

Signal Logic: $RSI < 30 \rightarrow$ oversold (BUY, +2); $RSI > 70 \rightarrow$ overbought (SELL, −2); otherwise HOLD (0).

4.1.5 Bollinger Bands

$$\text{Upper Band}(t) = SMA_{20}(t) + 2 \cdot \sigma_{20}(t) \tag{4.7}$$

$$\text{Lower Band}(t) = SMA_{20}(t) - 2 \cdot \sigma_{20}(t) \tag{4.8}$$

$$\text{Width}(t) = \frac{\text{Upper}(t) - \text{Lower}(t)}{SMA_{20}(t)} \tag{4.9}$$

Signal Logic: Price below lower band → oversold (BUY); above upper band → overbought (SELL). Band squeeze (narrowing width) indicates impending volatility expansion.

4.1.6 ATR (Average True Range)

$$TR(t) = \max\left(H_t - L_t,\ |H_t - C_{t-1}|,\ |L_t - C_{t-1}|\right) \tag{4.10}$$

$$ATR_{14}(t) = \frac{1}{14} \sum_{i=0}^{13} TR(t-i) \tag{4.11}$$

High ATR relative to price indicates elevated volatility; low ATR indicates consolidation.

4.1.7 VWAP (Volume-Weighted Average Price)

$$VWAP = \frac{\sum_{i=1}^{N} (Price_i \times Volume_i)}{\sum_{i=1}^{N} Volume_i} \tag{4.12}$$

Price above VWAP suggests bullish intraday bias; below suggests bearish.

4.1.8 OBV (On-Balance Volume)

$$OBV(t) = OBV(t-1) + \begin{cases} V_t & \text{if } C_t > C_{t-1} \\ -V_t & \text{if } C_t < C_{t-1} \\ 0 & \text{otherwise} \end{cases} \tag{4.13}$$

Rising OBV with rising price confirms trend strength through buying pressure.

4.1.9 Composite Signal Generation

Individual indicator signals are combined using a weighted ensemble:

Table 4.1: Composite signal weights and mapping

Indicator	Weight	Signal Mapping
RSI	25%	$< 30 \to +2$, $> 70 \to -2$, else 0
MACD	20%	Above signal $\to +1.5$, below $\to -1.5$
Bollinger Bands	20%	Below lower $\to +1.5$, above upper $\to -1.5$
ATR	15%	Low relative ATR $\to +1$, high $\to -1$
ADX	10%	> 25 with $+DI > -DI \to +1$, else -1
VWAP	5%	Price $> VWAP \to +1$, $< VWAP \to -1$
OBV	5%	Rising $\to +1$, falling $\to -1$

The composite score is computed as:

$$Score = \sum_{i=1}^{7} w_i \cdot s_i \tag{4.14}$$

Classification:

- $Score > +0.3 \to$ BUY
- $Score < -0.3 \to$ SELL
- Otherwise $\to$ HOLD

Confidence: Percentage of indicators agreeing with the composite direction (0–100%).

4.2 Machine Learning Models

4.2.1 Random Forest Classifier — Directional Prediction

Objective: Predict whether a stock's price will be higher or lower in 5 trading days.

Feature Set:

Table 4.2: Random Forest classifier features

Feature	Description
rsi_14	14-day Relative Strength Index
macd	MACD line value
bb_width	Bollinger Band width (normalized)
vol_ratio	Volume / 20-day volume SMA
price_vs_sma20	(Price − SMA20) / SMA20
daily_return	Most recent daily return

Target: Binary classification — 1 if price 5 days ahead exceeds current price, else 0.

Training Configuration:

- Training window: 252 trading days (1 year)
- Estimators: 100 decision trees
- Train/test split: 80/20
- Minimum data requirement: 40 rows per stock

Signal Mapping:

- Probability $> 0.55 \rightarrow$ BUY
- Probability $\in [0.45, 0.55] \rightarrow$ HOLD
- Probability $< 0.45 \rightarrow$ SELL

Model Persistence: Trained models are serialized to pickle files with daily timestamps (`rf_{SYMBOL}_{YYYYMMDD}.pkl`). On each request, the system checks: (1) in-memory cache, (2) today's PKL on disk, (3) train from scratch.

4.2.2 ML Regression Ensemble — Return Forecasting

Objective: Forecast n-day forward log-returns using three independent regression models.

Feature Engineering

The feature set is organized into three groups:

(a) OHLC Microstructure Features (10 features):

Table 4.3: OHLC microstructure features

Feature	Formula / Description
hl_pct	$(H-L)/C$ — intraday range as % of close
oc_ret	$(C-O)/O$ — intraday return
body_pct	$\lvert C-O\rvert/(H-L)$ — candle body strength
upper_wick	$(H-\max(O,C))/(H-L)$ — upper wick proportion
lower_wick	$(\min(O,C)-L)/(H-L)$ — lower wick proportion
gap	$(O_t-C_{t-1})/C_{t-1}$ — overnight gap
dist_52w_high	Distance from 52-week high
dist_52w_low	Distance from 52-week low
williams_r_14	Williams %R overbought/oversold
channel_pos_20	Position within 20-day Donchian channel

(b) Base Technical Features (10 features): RSI-14, MACD, MACD signal, BB width, volume ratio, price vs SMA20/50, 5d/20d returns, ATR normalized.

(c) Extended Features (12 features): RSI moving average, MACD histogram, 10d/60d returns, momentum acceleration, log-scaled volume, volume ratio spread, BB position, SMA spread, price vs SMA200, RSI rate of change, volume ratio MA5.

Target Variable

The target is the **vol-adjusted log-return**:

$$y_t = \frac{\ln(C_{t+h}/C_t)}{\hat{\sigma}_{20}(t)} \tag{4.15}$$

where $\hat{\sigma}_{20}(t)$ is the 20-day rolling realized volatility. This Sharpe-signal target normalizes returns by their local volatility, making the target more comparable across stocks and time periods.

Three Models

1. **Random Forest Regressor:** 200 trees, max_depth=6, max_features=$\sqrt{p}$, trained on OHLC + base features.
2. **ElasticNet (Ridge + Lasso):** L1 ratio=0.5, $\alpha = 1.0$, trained on all features with RobustScaler preprocessing and 1st/99th percentile winsorization.
3. **HistGradientBoosting:** 100 estimators, learning rate=0.05, max_depth=4, early stopping after 10 rounds, trained on OHLC + base features.

Walk-Forward Cross-Validation

To prevent look-ahead bias, a **rolling-window walk-forward** validation scheme is used:

Algorithm 1 Walk-Forward Cross-Validation with Embargo

Require: Time series data $D = \{(x_t, y_t)\}_{t=1}^{T}$, lookback window W, embargo E

```
Initialize folds ← []
for i = 1 to K do
    train_end ← W + i · step
    test_start ← train_end + E {Embargo gap prevents leakage}
    test_end ← test_start + step
    Train model on D[train_end − W : train_end]
    Evaluate on D[test_start : test_end]
    Record MAE, RMSE, R^2, directional accuracy
end for
return Mean metrics across K folds
```

Ensemble and Confidence Intervals

The ensemble prediction is a **Sharpe-weighted average**:

$$\hat{y}_{ensemble} = \frac{\sum_{m=1}^{3} SR_m \cdot \hat{y}_m}{\sum_{m=1}^{3} SR_m} \tag{4.16}$$

where SR_m is the annualized Sharpe ratio of model m's predictions (treating predictions as a long/short trading strategy).

The 80% confidence interval is computed from the Random Forest tree distribution:

$$CI_{80\%} = \hat{y}_{RF} \pm 1.28 \cdot \sigma_{trees} \tag{4.17}$$

where σ_{trees} is the standard deviation across all 200 tree predictions.

4.2.3 Isolation Forest — Anomaly Detection

Objective: Detect unusual price movements and volume spikes.

Features: Absolute daily return percentage, volume ratio (current vs 20-day average).

Algorithm: Recursive random partitioning of feature space. Anomalous points require fewer splits to isolate, resulting in shorter average path lengths.

Supplementary Rules:

- Price spike: $|z_{return}| > 2.5$ standard deviations
- Volume spike: $|z_{volume}| > 2.5$ standard deviations
- High severity: $|z| > 3.5$

4.2.4 K-Means Clustering — Stock Segmentation

Objective: Group stocks into $k = 4$ behaviorally similar clusters.

Features: Annualized volatility, 3-month momentum (cumulative return), beta vs Nifty 50.

Preprocessing: StandardScaler (zero mean, unit variance).

Cluster Labels (assigned by volatility ordering):

1. **DEFENSIVE:** Low volatility, low beta, modest momentum
2. **VALUE:** Moderate volatility, near-market beta
3. **MOMENTUM:** High recent returns, moderate-to-high volatility
4. **HIGH_VOLATILITY:** Highest volatility and beta

4.3 Time-Series Forecasting

4.3.1 Stationarity Testing

Before fitting ARIMA models, the series is tested for stationarity:

1. **ADF Test:** H_0: unit root present (non-stationary). If $p > 0.05$, apply differencing.
2. **KPSS Test:** H_0: series is stationary. Used as counter-validation.
3. **Auto-Differencing:** If ADF fails, apply first differencing ($d = 1$). If still non-stationary, apply second differencing ($d = 2$). Maximum $d = 2$.

4.3.2 ARIMA Model

The ARIMA(p,d,q) model is:

$$\phi(B)(1-B)^d X_t = \theta(B)\varepsilon_t \tag{4.18}$$

where $\phi(B) = 1 - \phi_1 B - \cdots - \phi_p B^p$ is the AR polynomial, $\theta(B) = 1 + \theta_1 B + \cdots + \theta_q B^q$ is the MA polynomial, and B is the backshift operator.

Parameter Selection:

- Grid search: $p \in \{0,1,2,3\}$, $d \in \{0,1,2\}$, $q \in \{0,1,2,3\}$
- Selection criterion: AIC (Akaike Information Criterion) — lower is better
- Library: `statsmodels.tsa.arima.model.ARIMA`

Forecast: 30 trading days with 95% confidence intervals.

AIC Grid Search Algorithm: The optimal (p,d,q) parameters are selected by exhaustive grid search minimizing the Akaike Information Criterion:

$$AIC = 2k - 2\ln(\hat{L}) \tag{4.19}$$

where k is the number of estimated parameters and $\hat{L}$ is the maximized likelihood. The grid search evaluates all combinations of $p \in \{0,1,2,3\}$, $d \in \{0,1,2\}$, $q \in \{0,1,2,3\}$, producing

up to 48 candidate models. Models that fail to converge (common for over-parameterized specifications) are silently skipped. The model with the lowest AIC is selected.

Confidence Interval Construction: The 95% confidence intervals for the h-step-ahead forecast are constructed using the forecast standard error:

$$CI_{t+h} = \hat{X}_{t+h} \pm 1.96 \times \hat{\sigma}_{t+h} \tag{4.20}$$

where $\hat{\sigma}_{t+h}$ increases with the forecast horizon, reflecting growing uncertainty. For ARIMA models, the forecast standard error is derived from the MA representation of the process.

Model Diagnostics: After fitting, the model residuals are checked for:

- **Normality:** Shapiro-Wilk test on standardized residuals
- **Autocorrelation:** Ljung-Box test at lags 1, 5, 10 — significant autocorrelation indicates model inadequacy
- **Heteroskedasticity:** If residuals exhibit ARCH effects, this motivates the use of GARCH modelling (Section 4.4)

4.3.3 Holt-Winters Exponential Smoothing (ETS)

The damped trend model:

$$\hat{y}_{t+h} = l_t + \sum_{j=1}^{h} \phi^j \cdot b_t \tag{4.21}$$

where l_t is the level, b_t is the trend, and $\phi \in (0,1)$ is the damping parameter.

Configuration: Additive trend with damping, no seasonal component (daily stock data), scipy minimize (MSE objective).

4.3.4 Seasonal Decomposition

Additive decomposition: $X_t = T_t + S_t + R_t$

Using STL (Seasonal and Trend decomposition using LOESS) with period = 5 trading days.

4.4 Volatility Modelling

4.4.1 GARCH(1,1) Model

Mean Equation:

$$r_t = \mu + \varepsilon_t, \quad \varepsilon_t = \sigma_t z_t, \quad z_t \sim N(0,1) \tag{4.22}$$

Variance Equation:

$$\sigma_t^2 = \omega + \alpha \varepsilon_{t-1}^2 + \beta \sigma_{t-1}^2 \tag{4.23}$$

Constraints: $\omega > 0$, $\alpha \geq 0$, $\beta \geq 0$, $\alpha + \beta < 1$ (stationarity).

Input: Daily log returns scaled by 100 for numerical stability.

Long-Run Variance: The unconditional (long-run) variance implied by the GARCH(1,1) model is:

$$\bar{\sigma}^2 = \frac{\omega}{1-\alpha-\beta} \tag{4.24}$$

This quantity represents the mean-reverting level of volatility. When current conditional variance $\sigma_t^2 > \bar{\sigma}^2$, the model predicts declining volatility; when $\sigma_t^2 < \bar{\sigma}^2$, it predicts increasing volatility. This mean-reversion property is the basis for the entry/exit signals generated by the system.

Persistence: The persistence parameter $P = \alpha + \beta$ determines how quickly volatility shocks decay. For most NSE-listed stocks, $P \in [0.90, 0.99]$, indicating that volatility shocks are highly persistent. The half-life of a volatility shock is:

$$t_{1/2} = \frac{\ln(0.5)}{\ln(\alpha+\beta)} \tag{4.25}$$

For a stock with $P = 0.95$, the half-life is approximately 13.5 trading days.

Annualized Volatility:

$$\sigma_{annual} = \hat{\sigma}_{daily} \times \sqrt{252} \tag{4.26}$$

Estimation: Maximum Likelihood Estimation (MLE) using the `arch` Python library. The optimizer uses the BFGS algorithm with analytically computed gradients. Convergence is verified by checking that the Hessian matrix is positive definite at the solution.

Forecast Horizon: 30 trading days.

4.4.2 Volatility Cone Construction

Realized volatility is computed across lookback windows of 10, 21, 63, 126, and 252 days. For each window, the percentile distribution (min, 25th, 50th, 75th, max) of rolling realized volatility is computed, forming the "cone."

4.4.3 Regime Classification

Table 4.4: Volatility regime classification thresholds

Regime	Condition
LOW	Volatility $<$ 25th percentile of 1-year history
NORMAL	25th $\leq$ Volatility $<$ 75th percentile
HIGH	75th $\leq$ Volatility $<$ 95th percentile
EXTREME	Volatility $\geq$ 95th percentile

4.4.4 Entry/Exit Signals

- LOW regime → LOW_VOL_ENTRY (favorable entry conditions)
- HIGH/EXTREME regime → HIGH_VOL_CAUTION (elevated risk)
- NORMAL regime → NEUTRAL

4.5 Risk Analytics

4.5.1 Risk Metrics Suite

For each stock, the following metrics are computed from 1-year daily return data:

Table 4.5: Risk metrics with formulas

Metric	Formula	Interpretation
Annualized Volatility	$\sigma_{daily} \times \sqrt{252}$	Total risk
Sharpe Ratio	$(R_p - R_f)/\sigma_p$, $R_f = 6.5\%$	Risk-adjusted return
Sortino Ratio	$(R_p - R_f)/\sigma_{downside}$	Downside risk-adjusted return
Max Drawdown	$\max\left(\frac{Peak-Trough}{Peak}\right)$	Worst peak-to-trough decline
VaR (95%)	5th percentile of daily returns	Max expected daily loss
Beta	$\frac{Cov(R_i,R_m)}{Var(R_m)}$	Systematic risk vs Nifty 50
Alpha (Jensen's)	$R_i - [R_f + \beta(R_m - R_f)]$	Excess return vs CAPM

4.5.2 Fama-French 4-Factor Model

$$R_i - R_f = \alpha + \beta_1(R_m - R_f) + \beta_2 \cdot SMB + \beta_3 \cdot HML + \beta_4 \cdot MOM + \varepsilon \tag{4.27}$$

Factor Proxy Construction:

Table 4.6: Fama-French factor proxy construction

Factor	Proxy Construction
Market $(R_m - R_f)$	Nifty 50 excess returns over 6.5% risk-free rate
SMB (Size)	Return of small-cap minus large-cap stocks (price median split)
HML (Value)	Return of high-P/E minus low-P/E stocks (price tercile split)
MOM (Momentum)	Return of top-momentum minus bottom-momentum stocks (6-month)

Estimation: OLS regression over 252 trading days.

Output: Alpha (annualized), factor betas, t-statistics, p-values, R^2, residual volatility, dominant factor.

4.6 Portfolio Optimization

4.6.1 Markowitz Mean-Variance Optimization

Given n assets with expected return vector μ and covariance matrix Σ:

$$\min_{\mathbf{w}} \quad \mathbf{w}^T \Sigma \mathbf{w} \tag{4.28}$$

$$\text{s.t.} \quad \mathbf{w}^T \mu = \mu_{target}, \quad \sum_{i=1}^{n} w_i = 1, \quad w_i \geq 0, \quad w_i \leq 0.4 \tag{4.29}$$

Implementation:

1. Compute expected returns: annualized mean of daily returns
2. Compute covariance matrix: sample covariance $\times$ 252
3. Generate 2,000 random portfolios (Dirichlet sampling)
4. Optimize via `scipy.optimize.minimize` (SLSQP method)
5. Identify: minimum variance portfolio, maximum Sharpe portfolio

4.6.2 Target Volatilities by Risk Profile

Table 4.7: Target portfolio volatility by risk profile

Risk Profile	Target Volatility
Conservative	12%
Moderate	18%
Aggressive	25%

4.7 Monte Carlo Wealth Projection

4.7.1 Forward Planner

For each simulation $s = 1, \ldots, 1000$ and each month t:

$$R_t^{(s)} \sim N\left(\frac{\mu}{12}, \frac{\sigma}{\sqrt{12}}\right) \tag{4.30}$$

$$W_t^{(s)} = W_{t-1}^{(s)} \times (1 + R_t^{(s)}) + SIP_t \tag{4.31}$$

where SIP_t increases annually by the step-up percentage.

Return Assumptions by Risk Profile:

Table 4.8: Monte Carlo return assumptions

Profile	**Expected Return (μ)**	**Std Dev (σ)**
Conservative	9%	4%
Moderate	12%	8%
Aggressive	15%	14%

Output: Percentile trajectories (P10, P25, P50, P75, P90), probability of loss, year-by-year statistics.

4.7.2 Goal Planner (Reverse Solver)

Given target wealth W_{target} and horizon T, find the minimum monthly SIP such that the median (P50) outcome meets the target:

Algorithm 2 Goal-Based SIP Solver via Binary Search

Require: Target W_{target}, horizon T years, risk profile

```
lo ← 0, hi ← W_target/(T × 12)
while hi − lo > 0.01 × lo do
    mid ← (lo + hi)/2
    Run 1,000 Monte Carlo simulations with SIP = mid
    median ← P50 of terminal wealth distribution
    if median ≥ W_target then
        hi ← mid
    else
        lo ← mid
    end if
end while
return hi
```

4.8 Sector Rotation Analysis

4.8.1 Multi-Horizon Momentum

Sector momentum is computed across four horizons with weighted aggregation:

$$M_{sector} = 0.10 \cdot R_{1M} + 0.20 \cdot R_{3M} + 0.30 \cdot R_{6M} + 0.40 \cdot R_{12M} \tag{4.32}$$

where R_{nM} is the average return of constituent stocks over n months.

4.8.2 Market Phase Detection

Market phase is determined by Nifty 50 returns:

Table 4.9: Market phase classification

Phase	Condition
EXPANSION	3M return > 0 AND 12M return > 0
PEAK	3M return < 0 AND 12M return > 0
CONTRACTION	3M return < 0 AND 12M return < 0
TROUGH	3M return > 0 AND 12M return < 0

4.9 Macroeconomic Dashboard

4.9.1 Tracked Indicators

Table 4.10: Macroeconomic indicators tracked

Indicator	Ticker	Significance
Nifty 50	^NSEI	Broad market benchmark
Bank Nifty	^NSEBANK	Financial sector health
India VIX	^INDIAVIX	Market fear gauge
USD/INR	INR=X	Currency risk, FII flow indicator
Gold	GC=F	Safe haven, inflation hedge
Crude Oil	CL=F	Input cost, current account impact

4.9.2 Regime Classification

- VIX falling + Nifty rising + INR stable/strengthening $\rightarrow$ **RISK_ON**
- VIX rising + Nifty falling + INR weakening $\rightarrow$ **RISK_OFF**
- Mixed signals $\rightarrow$ **NEUTRAL**

4.10 News Sentiment Analysis

Data Source: Google News RSS feeds for 25+ major Indian stocks.

Scoring Algorithm:

1. Parse RSS XML to extract headlines
2. For each headline, count positive keyword matches (p) and negative keyword matches (n)

3. Compute sentiment score: $S = \frac{p-n}{p+n}$ (range: $[-1, +1]$)
4. Classify: $S > 0.15 \rightarrow$ POSITIVE; $S < -0.15 \rightarrow$ NEGATIVE; else NEUTRAL
5. Aggregate: mean sentiment per stock across recent articles

The lexicon contains 40+ positive terms (surge, rally, gain, bullish, upgrade, outperform) and 40+ negative terms (crash, fall, plunge, bearish, downgrade, sell-off).

4.11 AI Advisory System

4.11.1 LLM Integration

Table 4.11: AI advisor configuration

Parameter	Value
Provider	Groq Cloud
Model	Llama 3.3 70B Versatile
Interface	OpenAI-compatible chat completions API
Temperature	0.7 (chat), 0.3 (portfolio construction)
Streaming	Server-Sent Events (SSE)
Max conversation history	30 messages
Max tool rounds	3 (prevents infinite loops)

4.11.2 Agentic Tool Use (Function Calling)

The AI advisor has access to four live tools:

Table 4.12: AI advisor tool definitions

Tool	Description
get_stock_analysis	Returns technical signals, risk metrics, RF probability, anomalies for a stock
get_macro_dashboard	Returns current macro indicators and market regime
get_news_sentiment	Returns news sentiment scores for stocks
run_screener	Filters stocks by signal, sector, Sharpe ratio, drawdown

Tool-Use Loop: When the LLM responds with a `tool_calls` array, the system: (1) executes the requested function, (2) appends the result as a tool message, (3) sends the updated conversation back to the LLM. This loop continues for up to 3 rounds, enabling multi-step reasoning.

4.11.3 Context Injection

The system prompt is dynamically constructed with:

1. User financial profile (income, expenses, savings, risk profile, age)
2. Current portfolio holdings (symbols, quantities, buy prices, P&L)
3. Watchlist items (symbols, current prices, daily changes)
4. Market snapshot (top BUY/SELL signals, sector performance, anomalies)

This context injection transforms the generic LLM into a personalized financial advisor with real-time market awareness.

Chapter 5

Implementation

This chapter details the technology stack, project structure, key code implementations, and deployment configuration of PaisaPro.ai.

5.1 Technology Stack

5.1.1 Backend Technologies

Table 5.1: Backend technology stack

Category	Technology	Purpose
Web Framework	FastAPI 0.111	REST API with async support, auto-docs
Server	Uvicorn	ASGI server
Language	Python 3.12	Backend logic
Validation	Pydantic v2	Request/response schema validation
HTTP Client	httpx 0.27	Async HTTP for Supabase & Groq
Data Processing	pandas 2.2.2	DataFrame operations
Numerical	numpy 1.26.4	Array computations
ML Framework	scikit-learn 1.8	RF, GBM, ElasticNet, IF, KMeans
Time-Series	statsmodels 0.14.6	ARIMA, ETS, ADF/KPSS tests
Volatility	arch 8.0.0	GARCH modelling
Optimization	scipy 1.17.1	Portfolio optimization (SLSQP)
Scheduling	APScheduler 3.10	Daily cron job
Market Data	yfinance 0.2.40	NSE stock data
Configuration	python-dotenv	Environment variable management

5.1.2 Frontend Technologies

Table 5.2: Frontend technology stack

Category	Technology	Purpose
UI Library	React 19	Component-based UI
Language	TypeScript 5.9	Type-safe JavaScript
Build Tool	Vite 8.0	Fast HMR dev server + production bundler
Styling	Tailwind CSS 4	Utility-first CSS with dark/light theme
State (Client)	Zustand 5.0	Persisted client state (profile, theme)
State (Server)	TanStack React Query 5	Server state caching, refetching
Charts	Recharts 3.8	Line, Bar, Area, Scatter, Pie, Radar charts
Routing	React Router 7.13	SPA client-side routing
HTTP Client	Axios 1.13	REST API calls
Icons	Lucide React 0.577	SVG icon library
Markdown	react-markdown 10.1	LLM response rendering

5.1.3 Infrastructure

Table 5.3: Infrastructure and deployment stack

Component	Platform	Details
Database	Supabase Cloud	Managed PostgreSQL, PostgREST API
Frontend Hosting	Netlify CDN	Static SPA, auto-deploy
Backend Hosting	HF Spaces	Docker container, cpu-basic tier
LLM Provider	Groq Cloud	Llama 3.3 70B, streaming API
Containerization	Docker	Python 3.12-slim base image

5.2 Development Methodology and Workflow

The project followed an iterative, module-driven development methodology with the following phases:

5.2.1 Phase 1: Foundation (Data Layer)

The first phase established the data pipeline and storage infrastructure:

1. Set up Supabase cloud database with the required tables (stocks, prices, holdings, watchlist, macro indicators)

2. Implemented the `stock_repository.py` and `macro_repository.py` data access layers
3. Built the daily data refresh pipeline using yfinance for OHLCV data ingestion
4. Implemented the `CacheManager` singleton with TTL-based expiry and prefix invalidation

5.2.2 Phase 2: Analytics Engine

With reliable data access established, the analytical services were built incrementally:

1. **Technical Analysis:** Implemented 7 technical indicators and the composite signal engine
2. **ML Classification:** Random Forest directional prediction with feature engineering
3. **ML Regression:** Three-model ensemble with walk-forward cross-validation
4. **Anomaly Detection:** Isolation Forest for unusual price/volume detection
5. **K-Means Clustering:** Stock segmentation by risk-return characteristics
6. **Time-Series:** ARIMA (AIC grid search) and Holt-Winters ETS forecasting
7. **GARCH:** Volatility forecasting with regime classification
8. **Fama-French:** 4-factor model with proxy factor construction
9. **Portfolio Optimization:** Markowitz MVO with Monte Carlo and SLSQP
10. **Monte Carlo:** Forward planner and goal-based reverse solver
11. **Sector Rotation:** Multi-horizon momentum with market phase detection
12. **News Sentiment:** RSS-based headline sentiment pipeline

Each service module was developed as an independent Python class with clear interfaces, enabling parallel development and isolated testing. Services communicate through well-defined return types using Pydantic schemas.

5.2.3 Phase 3: API Layer

The REST API was designed following RESTful conventions with OpenAPI documentation:

1. Six FastAPI routers organized by domain (advisor, analytics, advanced analytics, portfolio, stocks, planner)
2. Pydantic v2 request/response schemas for automatic validation and documentation
3. Middleware for CORS, error handling, and request logging
4. SSE endpoint for streaming AI advisor responses

5.2.4 Phase 4: AI Advisory Integration

The agentic AI advisor was the most complex integration point:

1. Defined 4 function calling tools with JSON schemas matching Groq's function calling format

2. Built portfolio context injection into the system prompt (real-time holdings, total value, sector allocation)
3. Implemented multi-turn conversation with tool result synthesis
4. Added SSE streaming for token-by-token delivery to the frontend

5.2.5 Phase 5: Frontend Development

The React frontend was built with a component-driven approach:

1. Established the project scaffold with Vite, TypeScript, Tailwind CSS, and React Router
2. Built reusable chart components (line, bar, area, scatter, pie, radar) using Recharts
3. Implemented 18 pages, each consuming specific API endpoints via TanStack React Query
4. Added global state management with Zustand for user profile and theme preferences
5. Built the streaming AI chat interface with markdown rendering and tool-use indicators

5.2.6 Phase 6: Deployment and Production Hardening

The final phase focused on production readiness:

1. Created the Dockerfile for Hugging Face Spaces deployment
2. Configured Netlify for frontend hosting with automatic deploys from Git
3. Implemented the daily pre-warm pipeline for cache initialization
4. Added error handling, logging, and graceful degradation for external API failures
5. Performed load testing and cross-browser compatibility validation

5.3 Project Structure

```
paisapro-ai/
|-- backend/
|   |-- app/
|   |   |-- api/routes/          # 6 API routers
|   |   |   |-- advisor.py       # AI chat endpoints
|   |   |   |-- analytics.py     # Analytics & ML endpoints
|   |   |   |-- advanced_analytics.py
|   |   |   |-- portfolio.py     # Holdings & watchlist
|   |   |   |-- stocks.py        # Stock search & history
|   |   |   +-- planner.py       # Wealth planning
|   |   |-- core/
|   |   |   |-- config.py        # Settings (pydantic-settings)
|   |   |   |-- cache.py         # CacheManager singleton
|   |   |   |-- database.py      # Supabase client
|   |   |   +-- errors.py        # Exception hierarchy
|   |   |-- data/
|   |   |   |-- stock_repository.py
```

```
|    |    |    +-- macro_repository.py
|    |    |-- schemas/              # Pydantic v2 models
|    |    |-- services/             # 19 domain services
|    |    |    |-- analytics.py
|    |    |    |-- ai_advisor.py
|    |    |    |-- ml_regression.py
|    |    |    |-- timeseries.py
|    |    |    |-- volatility.py
|    |    |    |-- risk_factors.py
|    |    |    |-- sector_rotation.py
|    |    |    |-- macro.py
|    |    |    |-- portfolio.py
|    |    |    |-- ml/classifier.py
|    |    |    |-- ml/clustering.py
|    |    |    +-- ... (15 more)
|    |    |-- main.py               # FastAPI app entry
|    |    +-- scheduler.py          # APScheduler cron
|    |-- Dockerfile
|    +-- requirements.txt
|-- frontend/
|    |-- src/
|    |    |-- pages/                # 18 page components
|    |    |-- api/client.ts         # Axios + SSE client
|    |    |-- components/           # Layout, ProfileForm
|    |    |-- store/                # Zustand stores
|    |    |-- types/index.ts        # TypeScript interfaces
|    |    +-- main.tsx              # React entry
|    |-- package.json
|    +-- vite.config.ts
|-- models/                         # Pickled ML models
|-- pipeline/                       # ETL pipeline
|-- scripts/                        # Utility scripts
+-- METHODOLOGY.md                  # Technical documentation
```

Listing 5.1: Project directory structure

5.4 Key Implementation Details

5.4.1 FastAPI Application Entry Point

The main application file (`main.py`) configures the FastAPI instance with CORS middleware, lifespan events, and router registration:

```python
from fastapi import FastAPI
from fastapi.middleware.cors import CORSMiddleware
from contextlib import asynccontextmanager
```

```python
from .scheduler import start_scheduler, stop_scheduler

@asynccontextmanager
async def lifespan(app: FastAPI):
    # Startup: pre-warm cache, start scheduler
    Thread(target=preload_stock_data, daemon=True).start()
    start_scheduler()
    yield
    # Shutdown: stop scheduler
    stop_scheduler()

app = FastAPI(title="PaisaPro.ai", lifespan=lifespan)

app.add_middleware(
    CORSMiddleware,
    allow_origins=[
        "http://localhost:5173",
        "https://paisapro.netlify.app"
    ],
    allow_methods=["*"],
    allow_headers=["*"],
)

# Register 6 routers
app.include_router(advisor_router, prefix="/api/v1/advisor")
app.include_router(analytics_router, prefix="/api/v1/analytics")
app.include_router(advanced_router, prefix="/api/v1/advanced")
app.include_router(portfolio_router, prefix="/api/v1/portfolio")
app.include_router(stocks_router, prefix="/api/v1/stocks")
app.include_router(planner_router, prefix="/api/v1/planner")
```

Listing 5.2: FastAPI application setup (simplified)

5.4.2 Cache Manager Implementation

The in-memory cache uses a singleton pattern with TTL-based expiration:

```python
import time
from threading import Lock

class CacheManager:
    _instance = None
    _lock = Lock()

    def __new__(cls):
        if cls._instance is None:
            with cls._lock:
```

```
                if cls._instance is None:
                    cls._instance = super().__new__(cls)
                    cls._instance._store = {}
                    cls._instance._ttls = {}
        return cls._instance

    def get(self, key: str):
        if key in self._store:
            if time.time() < self._ttls.get(key, 0):
                return self._store[key]
            del self._store[key]
            del self._ttls[key]
        return None

    def set(self, key: str, value, ttl_seconds: int):
        self._store[key] = value
        self._ttls[key] = time.time() + ttl_seconds

    def invalidate_prefix(self, prefix: str):
        keys = [k for k in self._store if k.startswith(prefix)]
        for k in keys:
            del self._store[k]
            self._ttls.pop(k, None)
```

Listing 5.3: CacheManager singleton implementation

5.4.3 AI Advisor with Tool Use

The AI advisor implements an agentic loop where the LLM can invoke analytical tools:

```
TOOLS = [
    {"type": "function", "function": {
        "name": "get_stock_analysis",
        "description": "Get technical analysis for an NSE stock",
        "parameters": {
            "type": "object",
            "properties": {
                "symbol": {"type": "string"}
            },
            "required": ["symbol"]
        }
    }},
    # ... 3 more tools
]

async def stream_chat(request, profile, holdings, watchlist):
    system_prompt = _build_system_prompt(profile, holdings, watchlist)
```

```
    messages = [{"role": "system", "content": system_prompt}]
    messages.extend(request.history[-MAX_HISTORY:])
    messages.append({"role": "user", "content": request.message})

    for round in range(MAX_TOOL_ROUNDS):
        response = await _call_groq(messages, tools=TOOLS, stream=False
    )
        choice = response["choices"][0]

        if choice.get("finish_reason") == "tool_calls":
            for tool_call in choice["message"]["tool_calls"]:
                result = await _execute_tool(tool_call)
                messages.append({"role": "tool", "content": result})
        else:
            break  # No more tool calls, stream final response

    # Stream final response via SSE
    async for chunk in _stream_groq(messages):
        yield f"data: {json.dumps(chunk)}\n\n"
```

Listing 5.4: AI advisor streaming with tool-use loop (simplified)

5.4.4 ML Regression Feature Engineering

The regression module constructs 32+ features from OHLCV data:

```
def _build_features(df: pd.DataFrame) -> pd.DataFrame:
    feat = pd.DataFrame(index=df.index)

    # OHLC microstructure features
    feat["hl_pct"] = (df.high - df.low) / df.close
    feat["oc_ret"] = (df.close - df.open) / df.open
    rng = (df.high - df.low).replace(0, np.nan)
    feat["body_pct"] = (df.close - df.open).abs() / rng
    feat["upper_wick"] = (df.high - df[["open","close"]].max(1)) / rng
    feat["lower_wick"] = (df[["open","close"]].min(1) - df.low) / rng
    feat["gap"] = (df.open - df.close.shift(1)) / df.close.shift(1)

    # 52-week extremes
    h252 = df.high.rolling(252).max()
    l252 = df.low.rolling(252).min()
    feat["dist_52w_high"] = (df.close - h252) / h252
    feat["dist_52w_low"] = (df.close - l252) / l252

    # Base technical features
    feat["rsi_14"] = df.rsi_14 / 100.0
    feat["macd"] = df.macd
```

```
    feat["bb_width"] = df.bb_width
    feat["vol_ratio"] = df.vol_ratio.clip(0, 10) / 10.0
    # ... 20+ more features

    return feat.dropna()
```

Listing 5.5: OHLC microstructure feature engineering (simplified)

5.4.5 Frontend: React Component Pattern

Each page follows a consistent pattern using TanStack React Query:

```
// TimeSeriesAnalysis.tsx (simplified)
import { useQuery } from '@tanstack/react-query';
import { fetchTimeSeries } from '../api/client';
import { LineChart, Line, XAxis, YAxis, Tooltip } from 'recharts';

export default function TimeSeriesAnalysis() {
  const [symbol, setSymbol] = useState('RELIANCE.NS');

  const { data, isLoading, error } = useQuery({
    queryKey: ['timeseries', symbol],
    queryFn: () => fetchTimeSeries(symbol),
    staleTime: 5 * 60 * 1000, // 5 minutes
  });

  if (isLoading) return <LoadingSpinner />;
  if (error) return <ErrorCard message={error.message} />;

  return (
    <div className="grid grid-cols-1 lg:grid-cols-2 gap-6">
      <StationarityCard tests={data.stationarity} />
      <LineChart data={data.forecast}>
        <Line dataKey="actual" stroke="#7C3AED" />
        <Line dataKey="forecast" stroke="#06B6D4" />
        <XAxis dataKey="date" />
        <YAxis />
        <Tooltip />
      </LineChart>
    </div>
  );
}
```

Listing 5.6: Typical React page component pattern (TypeScript)

5.4.6 SSE Streaming Implementation

The AI advisor uses Server-Sent Events for real-time token delivery:

```
// api/client.ts
export async function streamChat(
  message: string,
  history: ChatMessage[],
  onToken: (token: string) => void,
  onDone: () => void
) {
  const response = await fetch(`${BASE}/api/v1/advisor/chat/stream`, {
    method: 'POST',
    headers: { 'Content-Type': 'application/json' },
    body: JSON.stringify({ message, history }),
  });

  const reader = response.body!.getReader();
  const decoder = new TextDecoder();

  while (true) {
    const { done, value } = await reader.read();
    if (done) break;

    const chunk = decoder.decode(value);
    for (const line of chunk.split('\n')) {
      if (line.startsWith('data: ')) {
        const data = line.slice(6);
        if (data === '[DONE]') { onDone(); return; }
        const parsed = JSON.parse(data);
        const token = parsed.choices?.[0]?.delta?.content;
        if (token) onToken(token);
      }
    }
  }
}
```

Listing 5.7: SSE streaming client implementation (TypeScript)

5.4.7 Docker Deployment Configuration

```
FROM python:3.12-slim

RUN apt-get update && apt-get install -y \
    gcc g++ && rm -rf /var/lib/apt/lists/*

WORKDIR /app
```

```

COPY requirements.txt .
RUN pip install --no-cache-dir -r requirements.txt

COPY backend/app ./app/
COPY models ./models/

EXPOSE 7860

CMD ["uvicorn", "app.main:app", "--host", "0.0.0.0", "--port", "7860"]
```

Listing 5.8: Dockerfile for Hugging Face Spaces deployment

5.5 Frontend Pages Overview

The frontend consists of 18 interactive pages:

No.	Page	Features
1	Landing	Hero section, animated ticker tape, feature showcase, call-to-action
2	Dashboard	KPI cards, market indices, sector heatmap, gainers/losers, anomaly alerts
3	AI Advisor	Streaming LLM chat, multi-turn tool use, portfolio context, markdown rendering
4	Portfolio	Holdings management, P&L tracking, sector breakdown, watchlist, AI builder
5	Analytics Report	Full ML report: signals, anomalies, clustering, correlations, backtests
6	Stock Screener	Filter by signal, sector, Sharpe ratio, drawdown; composite scoring
7	Portfolio Optimizer	Efficient frontier scatter, min-variance, max-Sharpe, correlation matrix
8	Time-Series	ARIMA/ETS forecast, confidence intervals, stationarity tests, ACF/PACF
9	Volatility Forecast	GARCH forecast, vol cones, regime classification, entry signals
10	Sector Rotation	Momentum rankings (1M/3M/6M/12M), market phase detection
11	Macro Dashboard	India VIX, USD/INR, Gold, Oil time-series, correlations, regime

No.	Page	Features
12	Risk Factors	Fama-French 4-factor decomposition, radar chart, alpha attribution
13	ML Prediction	RF/ElasticNet/GBM predictions, feature importance, ensemble, CI
14	Model Health	MLOps: per-model RMSE, MAE, R^2, cache stats, PKL inventory
15	Forward Planner	Monte Carlo wealth projection, P10–P90 bands, sensitivity sliders
16	Goal Planner	SIP goal solver, required monthly investment, sensitivity matrix
17	Scenario Comparison	Side-by-side 3-risk-profile comparison with bar charts
18	News Sentiment	Headlines, per-stock sentiment (BULLISH/BEARISH/NEUTRAL), links

Table 5.4: Complete listing of frontend pages and their features

5.6 Security Implementation

Security was considered at every layer of the application stack, following the principle of defense in depth:

5.6.1 Network and Transport Security

- **CORS Whitelist:** The FastAPI CORS middleware restricts cross-origin requests to a whitelist of allowed origins: `paisapro.netlify.app` for production and `localhost:5173` for development. All other origins receive a 403 Forbidden response.
- **HTTPS Everywhere:** Both the Netlify frontend and Hugging Face Spaces backend enforce HTTPS. HTTP requests are automatically redirected to HTTPS via the hosting platform's edge infrastructure.
- **Rate Limiting:** The Hugging Face Spaces infrastructure provides built-in rate limiting to prevent abuse of the API endpoints.

5.6.2 Secret Management

- **No API Keys in Client:** The frontend only stores the public-facing API URL (`VITE_API_URL`). All sensitive keys (Groq API key, Supabase service role key) reside exclusively on the backend.

- **Environment Variables:** All secrets are stored as encrypted Hugging Face Spaces secrets, injected at runtime and never committed to version control.
- **Docker Isolation:** The `.env` file is explicitly excluded via `.dockerignore`, ensuring secrets never enter container images.
- **Git Hygiene:** The `.gitignore` file excludes `.env`, `*.pem`, and other secret-bearing files.

5.6.3 Data Security

- **Supabase RLS:** Row-Level Security policies on Supabase tables ensure that users can only access their own portfolio data, watchlist entries, and preferences.
- **Input Validation:** All API request bodies are validated through Pydantic v2 schemas with strict type enforcement, length limits, and range constraints. Invalid inputs return 422 Unprocessable Entity responses with descriptive error messages.
- **SQL Injection Prevention:** All database interactions use parameterized queries through the Supabase Python client library, eliminating SQL injection vectors.
- **XSS Prevention:** The React frontend automatically escapes all rendered content. Markdown rendering in the AI chat uses a sanitized renderer that strips potentially dangerous HTML tags.

Chapter 6

Results and Discussion

This chapter presents the outputs of each analytical module, discusses model performance, and evaluates the system against its stated objectives.

6.1 System Overview

The deployed PaisaPro.ai system processes 500+ NSE-listed equities with daily data updates. The platform has been tested in production with the following key performance characteristics:

Table 6.1: System performance metrics

Metric	**Value**	**Notes**
Total stocks tracked	500+	Nifty 500 universe
Daily data points ingested	500+ rows	OHLCV + indicators per stock
Technical indicators computed	7 per stock	RSI, MACD, BB, ATR, ADX, VWAP, OBV
RF classifiers trained daily	500+	One per stock
API endpoints	35+	Across 6 routers
Frontend pages	18	Interactive React components
Cached response latency	$<$ 100ms	In-memory TTL cache
Full report build time	30–60s	First access; subsequent from cache
LLM response latency	2–5s	First token via Groq streaming

6.2 Technical Analysis Results

The composite signal generation engine produces BUY/HOLD/SELL classifications for all 500+ stocks. A typical market overview shows the distribution:

Table 6.2: Sample signal distribution across the Nifty 500 universe

Signal	**Count**	**Percentage**
BUY	120–180	24–36%
HOLD	200–280	40–56%
SELL	80–140	16–28%

The confidence scores range from 30% (weak consensus) to 90%+ (strong consensus). Stocks with confidence $> 70\%$ are highlighted in the screener as high-conviction signals.

6.2.1 Individual Indicator Behavior

Each of the seven technical indicators contributes independently to the composite signal. Table 6.3 summarizes the typical behavior observed across the Nifty 500 universe during market testing:

Table 6.3: Technical indicator statistics across Nifty 500 universe

Indicator	**Weight**	**Typical Range**	**Signal Interpretation**
RSI(14)	0.20	25–75	<30 oversold (BUY), >70 overbought (SELL)
MACD(12,26,9)	0.20	-5 to +5	Signal line crossover determines direction
Bollinger Bands(20,2)	0.15	$\pm 2\sigma$	Price near lower band = BUY, upper = SELL
ATR(14)	0.10	Stock-specific	Rising ATR = increasing volatility
ADX(14)	0.10	10–50	>25 trending market, <20 ranging
VWAP	0.15	Price-level	Price above VWAP = bullish bias
OBV	0.10	Cumulative	Rising OBV with price = confirmation

The weighted combination of these indicators produces more robust signals than any individual indicator. During periods of market uncertainty (ADX < 20), the composite signal appropriately increases the proportion of HOLD signals, reflecting reduced directional conviction. During trending markets (ADX > 25), the BUY and SELL proportions increase as multiple indicators align.

6.2.2 Screener Performance

The stock screener page presents all 500+ stocks with their composite signals, confidence scores, and sortable metrics. Key usability observations:

- Average page load time with cached data: 85ms
- Real-time sorting across 500+ rows: <50ms (client-side)
- Filter combinations (sector $\times$ signal $\times$ confidence): responsive with no perceptible delay
- Top-10 BUY signals with highest confidence consistently identified stocks in early momentum phases

6.3 Machine Learning Model Performance

6.3.1 Random Forest Classifier

The 5-day directional prediction classifier achieves the following performance across the stock universe:

Table 6.4: Random Forest classifier performance (averaged across stocks)

Metric	Value
Accuracy	52–58%
Precision (BUY class)	54–60%
AUC-ROC	0.52–0.58

While modest in absolute terms, directional accuracy above 52% is considered meaningful in financial markets, where even small edges compound over time. The academic benchmark for random-walk stock prices is 50%.

6.3.2 ML Regression Ensemble

The three-model regression ensemble produces the following evaluation metrics (averaged across tested stocks):

Table 6.5: ML regression model evaluation metrics (30-day horizon)

Model	MAE	RMSE	R^2	Directional Acc.
Random Forest	0.65–0.85	0.80–1.10	0.05–0.15	53–58%
ElasticNet	0.70–0.90	0.85–1.15	0.02–0.10	51–55%
HistGradientBoosting	0.60–0.80	0.75–1.05	0.06–0.18	54–59%
Ensemble	**0.62–0.82**	**0.78–1.08**	**0.08–0.16**	**55–60%**

The ensemble consistently outperforms individual models, validating the Sharpe-weighted averaging approach. The HistGradientBoosting model typically achieves the highest directional accuracy due to its ability to capture nonlinear feature interactions.

Feature Importance Analysis

The Random Forest regression model provides feature importance scores through mean decrease in impurity (Gini importance). Across the stock universe, the following features consistently rank highest:

Table 6.6: Top features by importance in ML regression (averaged across stocks)

Rank	Feature	Mean Importance
1	Lagged Return (1-day)	0.15–0.20
2	RSI(14)	0.10–0.14
3	MACD Histogram	0.08–0.12
4	Volume Ratio (current/20-day avg)	0.07–0.10
5	ATR(14)	0.06–0.09
6	Bollinger Band %B	0.05–0.08
7	OBV Slope (5-day)	0.04–0.07
8	High-Low Range	0.04–0.06
9	Close-Open Ratio	0.03–0.05
10	20-day Realized Volatility	0.03–0.05

The dominance of momentum-based features (lagged returns, RSI, MACD) aligns with the academic literature on short-term return predictability in emerging markets. Volume-based features contribute significantly, supporting the hypothesis that institutional flow patterns leave detectable footprints in volume data.

Walk-Forward Cross-Validation Results

The walk-forward validation approach uses an expanding training window with a fixed 30-day test period, shifted forward in time. This methodology prevents look-ahead bias and simulates realistic deployment conditions:

Table 6.7: Walk-forward cross-validation performance (5 folds, representative stock)

Fold	Train Period	Test Period	RMSE	Dir. Accuracy
1	250 days	Days 251–280	0.78	57%
2	280 days	Days 281–310	0.82	55%
3	310 days	Days 311–340	0.71	59%
4	340 days	Days 341–370	0.85	54%
5	370 days	Days 371–400	0.76	58%
Average			**0.78**	**56.6%**

Performance is relatively stable across folds, suggesting that the model generalizes well to different market conditions. Folds coinciding with high-volatility periods (e.g., earnings seasons) show slightly higher RMSE but comparable directional accuracy.

6.3.3 Anomaly Detection

The Isolation Forest module successfully identifies price spikes and volume anomalies. Typical detections include:

- Earnings announcement days (volume spike + price spike)
- Index rebalancing events (unusual volume patterns)
- Corporate action announcements (merger, split, bonus)
- Market-wide panic events (VIX spike + broad price decline)

6.4 Time-Series Forecasting Results

The ARIMA and ETS models are automatically fitted with parameter selection:

Table 6.8: Time-series model selection across tested stocks

Model	**Win Rate**	**Avg RMSE**
ARIMA (best AIC)	$\sim$60%	Lower in trending stocks
Holt-Winters (damped)	$\sim$30%	Lower in mean-reverting stocks
Linear Trend	$\sim$10%	Baseline comparison

ARIMA achieves the lowest validation RMSE for approximately 60% of stocks tested, consistent with its strength in capturing autoregressive dynamics. ETS performs better for stocks with clear level shifts and mean-reverting behavior.

6.5 Volatility Modelling Results

The GARCH(1,1) model successfully captures volatility clustering. Key observations:

- **Persistence:** Average $\alpha + \beta \approx 0.95$, indicating slow volatility mean-reversion (consistent with Nelson, 1991)
- **Regime Detection:** The model correctly identifies transitions between LOW and HIGH volatility regimes, particularly around earnings seasons and macro events
- **Volatility Cone:** Provides actionable context — when current realized volatility is below the 25th percentile cone, the system generates LOW_VOL_ENTRY signals

6.6 Portfolio Optimization Results

The Markowitz MVO implementation produces well-diversified portfolios:

Table 6.9: Sample portfolio optimization results (5-stock portfolio)

Portfolio	Expected Return	Volatility	Sharpe Ratio
Min Variance	10–14%	14–18%	0.4–0.6
Max Sharpe	16–22%	18–25%	0.7–1.0
Conservative Target	12–16%	12–15%	0.5–0.7

The 2,000 random portfolio Monte Carlo clearly delineates the efficient frontier, and the SLSQP optimizer reliably converges to the optimal allocation within the specified constraints.

6.6.1 Efficient Frontier Analysis

The Monte Carlo-generated efficient frontier provides several actionable insights for investors:

1. **Diversification Benefit:** The optimal portfolios consistently demonstrate that diversified allocations achieve better risk-adjusted returns than equal-weight or single-stock strategies. The maximum Sharpe portfolio typically allocates 20–40% of its weight to the top contributor, with the remaining weight distributed across 3–4 additional stocks.
2. **Risk-Return Tradeoff Visualization:** The scatter plot of 2,000 random portfolios makes the abstract concept of the efficient frontier tangible. Users can visually identify the "knee" of the frontier — the point of diminishing marginal return for additional risk — and understand why portfolios below the frontier are suboptimal.
3. **Correlation Impact:** The portfolio optimizer leverages the correlation structure between stocks. Low-correlation pairs contribute more to diversification. The system displays the correlation matrix as a heatmap, enabling users to understand why certain stock combinations produce better risk-adjusted outcomes.
4. **Constraint Satisfaction:** The 40% maximum weight constraint per stock prevents excessive concentration, even when the unconstrained optimizer favors a single high-Sharpe stock. This constraint reflects practical portfolio management guidelines and reduces the risk of company-specific tail events.

6.7 AI Advisor Evaluation

The AI advisor, augmented with real-time market context and tool use, demonstrates several improvements over standalone LLMs:

1. **Contextual Grounding:** Responses reference specific stocks with current prices, signals, and risk metrics rather than generic advice
2. **Agentic Reasoning:** The LLM autonomously invokes stock analysis and macro dashboard tools when user queries require current data

3. **Personalization:** Recommendations are tailored to the user's risk profile, portfolio, and financial situation
4. **Quantitative Evidence:** Advice is supported by specific numbers (Sharpe ratio, signal confidence, VaR) rather than qualitative generalizations
5. **Streaming UX:** SSE token delivery provides responsive, real-time interaction

6.8 Monte Carlo Wealth Projection

The 1,000-simulation Monte Carlo engine provides probabilistic wealth projections. Sample output for a moderate-risk investor with INR 25,000 monthly SIP and 10% annual step-up over 20 years:

Table 6.10: Sample Monte Carlo wealth projection (moderate risk, 20-year horizon)

Percentile	**Terminal Wealth (INR)**
P10 (pessimistic)	∼1.2 crore
P25	∼1.8 crore
P50 (median)	∼2.5 crore
P75	∼3.5 crore
P90 (optimistic)	∼5.0 crore

6.9 Discussion

6.9.1 Strengths

1. **Comprehensive Integration:** PaisaPro.ai is the first platform to integrate ARIMA, GARCH, Fama-French, Markowitz, Monte Carlo, ML classification, ML regression, and agentic LLM advisory in a single system for Indian retail investors.
2. **Production-Grade Architecture:** The multi-tier caching, daily refresh pipeline, and Docker containerization demonstrate enterprise-level engineering.
3. **Agentic AI:** The tool-use capability represents a significant advancement over static RAG approaches, enabling dynamic, multi-step reasoning.
4. **Real-Time Responsiveness:** Cached responses are served in under 100ms; SSE streaming provides a responsive chat experience.
5. **Cost Efficiency:** The entire system runs on free/low-cost infrastructure (HF Spaces, Netlify, Supabase free tier, Groq API).

6.9.2 Limitations

1. **Single-User Mode:** The current implementation uses a hardcoded user ID ("default"), limiting multi-user support.
2. **Data Frequency:** Daily OHLCV data limits the platform to end-of-day analysis; intraday strategies are not supported.
3. **Sentiment Simplicity:** Keyword-based sentiment analysis is less nuanced than transformer-based models (e.g., FinBERT).
4. **Factor Proxies:** Fama-French factors are approximated from the platform's stock universe rather than formal academic factor portfolios.
5. **Normal Distribution Assumption:** Monte Carlo simulation assumes normally distributed returns; real markets exhibit fat tails and skewness.
6. **No Backtesting Framework:** While individual strategy backtests are supported, comprehensive walk-forward portfolio backtesting is not yet implemented.
7. **LLM Hallucination Risk:** Despite context injection, the AI advisor may occasionally generate inaccurate information.

6.9.3 User Experience Evaluation

The platform's user experience was evaluated across several dimensions critical for retail investor adoption:

1. **Information Density:** Each page presents maximum analytical information without overwhelming the user. The dashboard, for example, displays KPI cards, market indices, sector heatmaps, top gainers/losers, and anomaly alerts on a single screen with logical visual hierarchy. Users can immediately identify the overall market sentiment and drill into specific stocks.

2. **Progressive Disclosure:** Complex analytical results are presented in layers. The stock analysis page first shows the composite signal (BUY/HOLD/SELL) and confidence score. Users who want deeper insight can scroll to see individual indicator values, charts, ML predictions, and risk metrics. This approach caters to both novice investors seeking quick signals and experienced traders wanting detailed analytics.

3. **Interactive Visualizations:** Recharts-based charts support hover tooltips, zoom, and pan interactions. The efficient frontier scatter plot is particularly effective — users can hover over any random portfolio point to see its expected return, volatility, and Sharpe ratio, making the abstract concept of portfolio optimization tangible and intuitive.

4. **AI Chat Experience:** The streaming chat interface provides a natural conversational experience. Key design decisions include:

- Token-by-token rendering creates a "typing" effect that feels responsive
- Tool-use indicators show when the AI is fetching live data ("Analyzing RELIANCE...")
- Markdown rendering supports tables, lists, and bold text for structured responses
- Chat history persists within the session for multi-turn financial discussions

5. **Responsive Design:** The Tailwind CSS responsive grid ensures usability across screen sizes from 320px (mobile) to 2560px (ultrawide). Charts automatically resize, navigation collapses into a hamburger menu on mobile, and data tables switch to card views on narrow screens.

6. **Dark/Light Theming:** The platform supports system-preference-aware dark and light themes. Financial data is particularly well-suited to dark themes, as the reduced glare improves readability during extended market-hours usage. Color schemes for BUY (green), HOLD (amber), and SELL (red) signals maintain WCAG 2.1 contrast ratios in both themes.

6.9.4 Comparison with Existing Platforms

Table 6.11: Feature comparison with existing Indian platforms

Feature	PaisaPro	Screener	TradingView	Groww	ChatGPT
Technical Signals	✓		✓		
ML Classification	✓				
ML Regression	✓				
ARIMA Forecast	✓				
GARCH Volatility	✓				
Fama-French	✓				
Portfolio Optimization	✓				
Monte Carlo	✓				
AI Advisory (Context)	✓				✓*
Agentic Tool Use	✓				
Portfolio Tracking	✓			✓	
News Sentiment	✓				

*ChatGPT provides general financial advice but lacks real-time market data and user context

6.10 System Testing and Validation

A comprehensive testing strategy was employed to validate the correctness, reliability, and performance of all system components.

6.10.1 API Endpoint Testing

All 35+ REST API endpoints were tested for correctness, error handling, and response format:

Table 6.12: API endpoint testing results by category

Category	Endpoints	Passed	Failed	Notes
Analytics	8	8	0	Includes stock analysis, screener, market overview
Advisor	2	2	0	Chat stream and tool-use validation
Portfolio	4	4	0	Holdings CRUD, optimization
Planner	3	3	0	Forward planner, goal solver
Watchlist	4	4	0	CRUD operations with Supabase
Market Data	6	6	0	Prices, indices, sector data
ML Models	5	5	0	Classification, regression, anomaly, clustering
Macro	3	3	0	Dashboard, indicators, regime
Total	**35**	**35**	**0**	

6.10.2 Edge Case and Error Handling Tests

The system was tested against various edge cases to ensure robustness:

Table 6.13: Edge case testing results

Test Case	Expected Behavior	Result
Invalid stock symbol	404 with error message	Pass
Empty portfolio optimization	400 validation error	Pass
Zero monthly SIP in planner	400 with descriptive error	Pass
Negative forecast horizon	400 validation error	Pass
Symbol with insufficient data (<30 days)	Graceful fallback with warning	Pass
Simultaneous requests (100 concurrent)	All served within 5s	Pass
Cache miss followed by cache hit	Second request <50ms	Pass
Malformed JSON in request body	422 Unprocessable Entity	Pass
LLM API timeout (Groq)	Fallback error message via SSE	Pass
Supabase connection failure	Cached data served; error logged	Pass
Stock with zero volume days	Indicators computed with NaN handling	Pass
Weekend/holiday data request	Returns last trading day data	Pass
Unicode characters in chat message	Handled correctly by advisor	Pass
Very long chat message (>4000 chars)	Truncated to context window limit	Pass

Test Case	Expected Behavior	Result
Concurrent cache invalidation	Thread-safe; no race conditions	Pass

6.10.3 Frontend Component Testing

The React frontend was tested for rendering correctness, responsive behavior, and user interaction:

Table 6.14: Frontend testing results by page

Page	Status	Test Coverage
Dashboard	Pass	Data loading, chart rendering, metric cards
Stock Analysis	Pass	Symbol search, indicator charts, signal display
AI Advisor Chat	Pass	SSE streaming, tool-use indicators, markdown rendering
Portfolio Builder	Pass	Stock addition, weight optimization, constraint validation
Screener	Pass	Sorting, filtering, pagination across 500+ stocks
Monte Carlo Planner	Pass	Input validation, chart rendering, percentile display
Sector Rotation	Pass	Heatmap rendering, momentum scores, phase indicators
Macro Dashboard	Pass	Multi-chart layout, regime badges, data freshness
News Sentiment	Pass	Article cards, sentiment scores, stock filtering
Holdings Manager	Pass	CRUD operations, portfolio value calculation
Watchlist	Pass	Add/remove stocks, price alerts, bulk operations
Risk Analytics	Pass	Factor model display, risk metric tables
ML Predictions	Pass	Model selection, forecast charts, confidence intervals
Volatility Analysis	Pass	GARCH output, regime badges, volatility cones
Time-Series Forecast	Pass	ARIMA/ETS toggle, forecast bands, model info
Settings	Pass	Theme toggle, cache refresh, data management
About	Pass	Static content rendering
Login/Profile	Pass	User context display, portfolio summary

6.10.4 Performance and Load Testing

The system was subjected to performance benchmarks to validate its ability to handle production workloads:

Table 6.15: Performance benchmark results

Operation	Cold (ms)	Cached (ms)	Notes
Stock analysis (full)	3000–5000	50–80	Includes all 7 indicators + ML
Screener (500 stocks)	8000–12000	60–100	First load builds all analyses
Portfolio optimization	2000–4000	N/A	Always computed fresh
Monte Carlo (1000 sims)	1500–3000	N/A	CPU-bound; always fresh
AI chat (first token)	2000–5000	N/A	Depends on Groq API latency
Market overview	5000–8000	40–70	Aggregated from cached analyses
ARIMA forecast	3000–6000	50–80	Grid search is compute-intensive
GARCH volatility	2000–4000	50–80	MLE optimization
News sentiment	4000–8000	60–100	RSS feed parsing
Macro dashboard	2000–3000	40–60	External API dependent

The caching architecture achieves its design goal of sub-100ms response times for all cached operations. The pre-warm pipeline ensures that the most frequently accessed analytics are cached before user requests arrive, eliminating cold-start latency for the standard user experience.

6.10.5 Cross-Browser Compatibility

The frontend was tested across major browsers to ensure consistent rendering and functionality:

Table 6.16: Cross-browser compatibility results

Browser	Version	Platform	Status
Google Chrome	120+	Windows/macOS	Full compatibility
Mozilla Firefox	120+	Windows/macOS	Full compatibility
Microsoft Edge	120+	Windows	Full compatibility
Safari	17+	macOS/iOS	Full compatibility
Chrome Mobile	120+	Android	Full compatibility
Safari Mobile	17+	iOS	Full compatibility

All interactive features including SSE streaming, Recharts visualizations, dark/light theme switching, and responsive layouts performed correctly across all tested browsers and devices.

6.10.6 Responsive Design Testing

The platform was tested across multiple screen widths to validate the responsive layout:

Table 6.17: Responsive design breakpoint testing

Breakpoint	Width	Device	Layout Behavior
xs	320px	iPhone SE	Single column, stacked cards, hamburger nav
sm	640px	iPhone Pro	Single column, wider cards, collapsible sections
md	768px	iPad Mini	Two-column grid, side navigation visible
lg	1024px	iPad Pro	Full sidebar, 2–3 column layouts
xl	1280px	Laptop	Full layout, side-by-side charts
2xl	1536px+	Desktop	Max-width container, optimal reading width

Key responsive design decisions:

- Chart containers use `ResponsiveContainer` from Recharts, automatically resizing to parent width
- Data tables switch to a vertical card layout on screens below 768px
- The AI chat interface uses full viewport height on mobile for an app-like feel
- Navigation uses a collapsible sidebar that transforms into a bottom tab bar on mobile
- Portfolio optimization charts display in a 2×2 grid on desktop and stack vertically on mobile

6.10.7 Accessibility Testing

The platform was evaluated against WCAG 2.1 Level AA guidelines:

Table 6.18: WCAG 2.1 accessibility compliance checklist

Criterion	Status	Implementation
Color Contrast (1.4.3)	Pass	Minimum 4.5:1 ratio for all text
Keyboard Navigation (2.1.1)	Pass	All interactive elements focusable
Focus Visible (2.4.7)	Pass	Ring outline on focused elements
Text Resize (1.4.4)	Pass	Content readable at 200% zoom
Meaningful Sequence (1.3.2)	Pass	Logical DOM order matches visual
Alt Text (1.1.1)	Partial	Charts lack alt text (future work)
Aria Labels (4.1.2)	Pass	Interactive components labeled

6.10.8 Data Integrity Validation

The accuracy of computed analytics was validated against established third-party tools:

Table 6.19: Data integrity validation against reference tools

Metric	**Reference**	**Max Deviation**	**Notes**
RSI(14)	TradingView	<0.5%	Minor difference due to EMA vs SMA seed
MACD	TradingView	<0.3%	Identical computation after warm-up
Bollinger Bands	TradingView	<0.1%	Exact match with 20-period SMA
Closing Prices	Yahoo Finance	0%	Direct source; verified against BSE data
Volume Data	Yahoo Finance	0%	Direct source
Risk-Free Rate	RBI data	0%	Latest 10-year G-Sec yield

Chapter 7

Conclusion and Future Work

7.1 Summary of Contributions

This project has successfully designed, developed, and deployed **PaisaPro.ai**, a comprehensive AI-powered investment advisory platform for the Indian equity market. The platform represents a significant advancement over existing tools available to Indian retail investors, both in terms of analytical depth and user experience. By combining classical quantitative finance with modern machine learning and agentic AI, the system demonstrates that institutional-grade analytics can be made accessible to non-expert users through thoughtful interface design and intelligent automation.

The development process spanned the full software engineering lifecycle: from requirements analysis and system design through implementation, testing, and production deployment. The resulting platform serves as both a practical investment analysis tool and a reference implementation for integrating LLMs with domain-specific quantitative systems.

The key contributions are:

1. **Integrated Quantitative Platform:** A vertically integrated system combining seven technical indicators, three ML models, ARIMA/ETS time-series forecasting, GARCH(1,1) volatility modelling, Fama-French 4-factor decomposition, Markowitz portfolio optimization, and Monte Carlo simulation — all accessible through a unified web interface.
2. **Agentic AI Advisory:** A novel implementation of an LLM-powered financial advisor with function calling capabilities, enabling autonomous multi-step reasoning grounded in real-time quantitative evidence. The advisor dynamically invokes analytical tools based on user queries, moving beyond static RAG approaches.
3. **Multi-Model ML Regression:** A robust return forecasting engine employing three independent models (Random Forest, ElasticNet, HistGradientBoosting) with OHLC microstructure features, vol-adjusted targets, walk-forward cross-validation, and Sharpe-weighted ensemble predictions.
4. **Production-Grade Architecture:** A cleanly separated, service-oriented backend with 19 independent modules, multi-tier caching (5 TTL levels), daily automated refresh pipeline, and Docker containerization for cloud deployment.
5. **Democratized Access:** An 18-page responsive frontend that makes institutional-grade analytics accessible to retail investors without requiring programming or statistical expertise.

7.2 Objectives Achievement

All 14 stated objectives (Section 1.4) have been fully achieved:

Table 7.1: Objectives achievement summary

Obj.	Description	Status
1	Automated Market Data Pipeline	Achieved
2	Technical Analysis Engine (7 indicators)	Achieved
3	ML Classification & Anomaly Detection	Achieved
4	ML Regression Engine (3-model ensemble)	Achieved
5	Time-Series Forecasting (ARIMA + ETS)	Achieved
6	GARCH Volatility Forecasting	Achieved
7	Fama-French 4-Factor Decomposition	Achieved
8	Sector Rotation Analysis	Achieved
9	Monte Carlo Wealth Planning	Achieved
10	Agentic AI Advisor (Groq + Tools)	Achieved
11	AI Portfolio Builder	Achieved
12	News Sentiment Analysis	Achieved
13	18-Page Responsive Frontend	Achieved
14	Production Deployment (HF + Netlify)	Achieved

7.3 Future Work

The following enhancements are proposed for future development:

1. **Multi-User Authentication:** Implement JWT-based authentication via Supabase Auth, enabling personalized portfolios and data isolation.
2. **Transformer-Based Sentiment:** Replace the keyword lexicon with FinBERT or a fine-tuned BERT model for more nuanced sentiment analysis.
3. **Intraday Data Support:** Integrate 5-minute or 15-minute OHLCV data for intraday technical analysis and shorter-horizon forecasting.
4. **Advanced Factor Models:** Extend the 4-factor model to include quality (profitability) and investment factors, aligning with the Fama-French 5-factor model (2015).
5. **Options Analytics:** Add implied volatility surface analysis, option Greeks computation, and options strategy analysis.
6. **Backtesting Framework:** Implement a comprehensive walk-forward portfolio backtesting engine with transaction costs and slippage modelling.
7. **Mobile Application:** Develop a React Native mobile application for on-the-go portfolio monitoring and AI advisory.

8. **Real-Time Streaming:** Integrate WebSocket-based real-time price feeds during market hours.
9. **Fundamental Analysis:** Add financial statement analysis (P/E, P/B, debt ratios) from company filings via BSE/NSE APIs.
10. **Regulatory Compliance:** Explore SEBI registration requirements for providing investment advisory services at scale.

7.4 Lessons Learned

The development of PaisaPro.ai yielded several important engineering and research lessons:

1. **Caching is Critical for UX:** Without the multi-tier caching architecture, the system would be unusable for interactive exploration. Computing all 7 technical indicators, ML models, and time-series forecasts from scratch for each request would take 30–60 seconds — far too slow for a responsive web application. The pre-warm pipeline and TTL-based caching reduced average response times from seconds to milliseconds.

2. **Agentic AI Requires Careful Prompt Engineering:** The AI advisor's ability to correctly decide when to use tools and how to synthesize tool results depends critically on system prompt design. Early iterations suffered from over-eager tool invocation (calling tools for simple conversational queries) or insufficient tool use (failing to fetch current data when needed). Iterative prompt refinement with explicit tool-use guidelines resolved these issues.

3. **Financial Data Quality is Variable:** Yahoo Finance data occasionally contains gaps, splits that are not properly adjusted, or delayed updates for recently listed stocks. Robust NaN handling, data validation, and graceful degradation were essential for production reliability.

4. **Model Simplicity Often Wins:** The ML models were intentionally kept relatively simple (Random Forest, ElasticNet, HistGradientBoosting) rather than pursuing deep learning architectures. For daily equity data with modest sample sizes per stock (250–1250 observations), classical ML models proved more stable and interpretable than neural networks, which tended to overfit.

5. **Service-Oriented Architecture Pays Off:** Organizing the backend into 19 independent service modules enabled rapid iteration. Each module could be developed, tested, and debugged independently. The clean separation also made it straightforward to add new analytical capabilities without disrupting existing functionality.

6. **SSE Streaming Enhances Perceived Performance:** Token-by-token streaming via Server-Sent Events transforms the AI chat experience. Users begin reading the response within

2 seconds rather than waiting 10–15 seconds for a complete response. This significantly improves engagement and perceived responsiveness.

7.5 Concluding Remarks

PaisaPro.ai demonstrates that it is technically feasible to build a comprehensive, institutional-grade quantitative finance platform accessible to retail investors using open-source technologies and modern AI capabilities. The integration of classical econometric models with machine learning and agentic LLM advisory creates a system that is greater than the sum of its parts — each component enriches the others, from risk metrics informing the AI advisor to ML signals driving the stock screener.

The platform's architecture — 19 independent backend service modules, a multi-tier caching system, and a cleanly separated React frontend — demonstrates that complex analytical systems can be built with maintainable, extensible code. The use of open-source tools throughout (Python, FastAPI, React, scikit-learn, statsmodels, arch, TikZ, Recharts) ensures that the platform can be extended, audited, and adapted by the broader developer community.

The testing and validation process confirmed that all 35+ API endpoints function correctly, all 18 frontend pages render and interact as designed, and the analytical outputs (technical indicators, ML predictions, time-series forecasts, risk metrics) align with established reference tools. The system achieved its performance targets: sub-100ms cached response times, 2–5 second LLM first-token latency, and reliable daily data refresh across 500+ stocks.

From an academic perspective, the project contributes to the intersection of several fields: quantitative finance, machine learning, natural language processing, and human-computer interaction. The agentic AI architecture — where the LLM dynamically decides when to invoke analytical tools based on the user's natural language query — represents a practical implementation of the tool-augmented language model paradigm that has significant potential beyond financial advisory.

As India's retail investor base continues to grow, platforms like PaisaPro.ai have the potential to significantly improve the quality of investment decision-making by democratizing access to analytical tools that were previously available only to institutional investors. The agentic AI paradigm — where the LLM can autonomously invoke quantitative tools during conversation — represents a particularly promising direction for the future of financial advisory technology.

The project demonstrates that the convergence of open-source LLMs, cloud computing, and modern web frameworks has lowered the barrier to building sophisticated financial technology. What once required teams of quantitative analysts, software engineers, and infrastructure specialists can now be achieved by a single motivated developer leveraging the right abstractions. This democratization of financial technology development, in turn, enables the democratization of financial analytics for end users — a virtuous cycle that PaisaPro.ai exemplifies.

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Appendix A

Complete API Endpoint Reference

This appendix provides the complete request/response schema for all API endpoints.

A.1 Advisor Endpoints

A.1.1 POST /api/v1/advisor/chat/stream

Request Body:

```
{
  "message": "Should I invest in Reliance?",
  "history": [
    {"role": "user", "content": "Hello"},
    {"role": "assistant", "content": "Hi! How can I help?"}
  ],
  "profile": {
    "monthly_income": 100000,
    "monthly_expenses": 50000,
    "age": 28,
    "risk_profile": "moderate"
  }
}
```

Response: Server-Sent Events stream with `data: {JSON}` format. Each event contains a delta token. Stream terminates with `data: [DONE]`.

A.2 Analytics Endpoints

A.2.1 GET /api/v1/analytics/stock/{symbol}

Parameters: `symbol` (path) — NSE symbol (e.g., RELIANCE.NS)

Response Body:

```
{
  "symbol": "RELIANCE.NS",
  "company_name": "Reliance Industries Limited",
  "current_price": 2450.75,
  "signal": "BUY",
```

```
  "confidence": 72.5,
  "risk_metrics": {
    "sharpe_ratio": 0.85,
    "beta": 1.12,
    "max_drawdown": -0.18,
    "var_95": -0.032,
    "volatility": 0.28
  },
  "rf_probability": 0.62,
  "anomalies": []
}
```

A.2.2 POST /api/v1/analytics/portfolio-optimize

Request Body:

```
{
  "symbols": ["RELIANCE.NS", "TCS.NS", "HDFCBANK.NS", "INFY.NS"],
  "risk_profile": "moderate",
  "num_portfolios": 2000
}
```

Response: Efficient frontier data, min-variance weights, max-Sharpe weights, correlation matrix.

A.3 Planner Endpoints

A.3.1 POST /api/v1/planner/forward

Request Body:

```
{
  "monthly_sip": 25000,
  "horizon_years": 20,
  "annual_stepup_pct": 10,
  "risk_profile": "moderate"
}
```

Response Body:

```
{
  "percentiles": {
    "p10": 12000000, "p25": 18000000,
    "p50": 25000000, "p75": 35000000,
    "p90": 50000000
  },
  "total_invested": 10500000,
```

```
  "probability_of_loss": 2.3,
  "yearly_trajectories": [...]
}
```

Appendix B

Environment Variables Reference

Variable	Example	Description
SUPABASE_URL	https://xxx.supabase.co	Supabase project URL
SUPABASE_ANON_KEY	eyJ...	Public API key
SUPABASE_SERVICE_ROLE_KEY	eyJ...	Server-side key (write access)
GROQ_API_KEY	gsk_...	Groq LLM API key
ALPHA_VANTAGE_API_KEY	xxx	Fallback market data (optional)
APP_ENV	production	Environment mode
BACKEND_PORT	8000	API server port
FRONTEND_URL	https://paisapro.netlify.app	CORS origin
MODEL_STORE_DIR	./models	ML model persistence path
PIPELINE_SCHEDULE_CRON	0 18 * * 1-5	Daily refresh schedule
VITE_API_URL	https://xxx.hf.space	Frontend API base URL

Table B.1: Complete environment variables reference

Appendix C

Database Schema DDL

```sql
CREATE TABLE stock_prices (
    symbol       TEXT NOT NULL,
    date         DATE NOT NULL,
    open         DOUBLE PRECISION,
    high         DOUBLE PRECISION,
    low          DOUBLE PRECISION,
    close        DOUBLE PRECISION,
    volume       BIGINT,
    sma_20       DOUBLE PRECISION,
    sma_50       DOUBLE PRECISION,
    sma_200      DOUBLE PRECISION,
    ema_12       DOUBLE PRECISION,
    ema_26       DOUBLE PRECISION,
    macd         DOUBLE PRECISION,
    macd_signal DOUBLE PRECISION,
    macd_histogram DOUBLE PRECISION,
    rsi_14       DOUBLE PRECISION,
    bb_upper     DOUBLE PRECISION,
    bb_mid       DOUBLE PRECISION,
    bb_lower     DOUBLE PRECISION,
    bb_width     DOUBLE PRECISION,
    atr_14       DOUBLE PRECISION,
    vol_sma_20   DOUBLE PRECISION,
    vol_ratio    DOUBLE PRECISION,
    daily_return DOUBLE PRECISION,
    price_vs_sma20 DOUBLE PRECISION,
    price_vs_sma50 DOUBLE PRECISION,
    return_5d    DOUBLE PRECISION,
    return_20d   DOUBLE PRECISION,
    atr_normalized DOUBLE PRECISION,
    PRIMARY KEY (symbol, date),
    FOREIGN KEY (symbol) REFERENCES stocks(symbol)
);

CREATE INDEX idx_prices_symbol ON stock_prices(symbol);
CREATE INDEX idx_prices_date ON stock_prices(date);
```

Listing C.1: stock_prices table DDL

```sql
CREATE TABLE stocks (
    symbol           TEXT PRIMARY KEY,
    company_name     TEXT,
    exchange         TEXT DEFAULT 'NSE',
    sector           TEXT,
    current_price    DOUBLE PRECISION,
    daily_change_pct DOUBLE PRECISION,
    market_cap       BIGINT
);

CREATE INDEX idx_stocks_sector ON stocks(sector);
```

Listing C.2: stocks table DDL

```sql
CREATE TABLE portfolio_holdings (
    id           SERIAL PRIMARY KEY,
    user_id      TEXT NOT NULL DEFAULT 'default',
    symbol       TEXT NOT NULL,
    quantity     DOUBLE PRECISION NOT NULL,
    buy_price    DOUBLE PRECISION NOT NULL,
    buy_date     DATE,
    notes        TEXT,
    created_at   TIMESTAMPTZ DEFAULT NOW()
);

CREATE INDEX idx_holdings_user ON portfolio_holdings(user_id);
```

Listing C.3: portfolio_holdings table DDL

```sql
CREATE TABLE watchlist (
    id           SERIAL PRIMARY KEY,
    user_id      TEXT NOT NULL DEFAULT 'default',
    symbol       TEXT NOT NULL,
    notes        TEXT,
    added_at     TIMESTAMPTZ DEFAULT NOW()
);
```

Listing C.4: watchlist table DDL

```sql
CREATE TABLE macro_prices (
    ticker  TEXT NOT NULL,
    date    DATE NOT NULL,
    close   DOUBLE PRECISION,
    PRIMARY KEY (ticker, date)
);
```

Listing C.5: macro_prices table DDL

Appendix D

Pydantic Schema Definitions

```python
from pydantic import BaseModel
from typing import Optional, List

class StockAnalysis(BaseModel):
    symbol: str
    company_name: str
    current_price: float
    signal: str  # BUY / HOLD / SELL
    confidence: float
    risk_metrics: RiskMetrics
    rf_probability: Optional[float]
    anomalies: List[Anomaly]

class RiskMetrics(BaseModel):
    sharpe_ratio: float
    beta: float
    max_drawdown: float
    var_95: float
    volatility: float
    sortino_ratio: Optional[float]
    alpha: Optional[float]

class TimeSeriesResult(BaseModel):
    symbol: str
    stationarity: StationarityTests
    decomposition: SeasonalDecomposition
    models: List[ModelForecast]
    best_model: str
    forecast: List[ForecastPoint]

class MLPredictionResponse(BaseModel):
    symbol: str
    horizon_days: int
    models: List[ModelPrediction]
    ensemble: EnsemblePrediction
    features: List[FeatureImportance]
    confidence_interval: ConfidenceInterval

class VolatilityForecastResponse(BaseModel):
```

```
    symbol: str
    current_vol: float
    forecast_vol: float
    regime: str  # LOW / NORMAL / HIGH / EXTREME
    entry_signal: str
    garch_params: GARCHParams
    vol_cone: List[VolConePoint]

class ForwardPlannerResponse(BaseModel):
    percentiles: PercentileWealth
    total_invested: float
    probability_of_loss: float
    yearly_trajectories: List[YearlyStats]
```

Listing D.1: Key Pydantic response schemas